

Coconut Development Authority



Annual Report 2018

Coconut Development Authority

Our Vision

“Highest contributor in plantation sector for gross domestic product from Coconut industry and global leader in diversification of product marketing”

Our Mission

Facilitation or taking to highest contribution to long term commercial productivity, sustainability and national economy through confirming coconut and coconut products for home consumption and industry

Introduction

The main statutory institute established as per section 24 of part iii reading “An Authority called Coconut Development Authority to be set up” (herein after called as “Authority”) in Coconut Development Authority Act No. 46 of 1971 for development of coconut industry is the Coconut Development Authority.

Functions of the Coconut Development Board in accordance with 30(1) of Act are as follows.

- (a) Deciding on development priorities in respect of coconut industry and lands under coconut cultivation and economical land utilization for coconut cultivation / assisting Minister to formulate policies.
- (b) Working out or helping to formulate projects and schemes in accordance with development priorities so decided.
- (c) Implementing projects and programmers carried out to date or supporting for their implementation.
- (d) Coordinating activities of Boards appointed by Minister under this Act.
- (e) Approving annual budget of Boards and providing funds to them
- (f) Implementing a proper management accounting systems and directing / assisting to Board to run the same.
- (g) Appraising progress of Boards regarding development priorities and policies determined by Minister.
- (h) Assisting financially or other way to any person or a group of people (incorporated or not) who engage in scientific researches regarding land utilization for coconut cultivation and lands used for coconut cultivation on coconut industry or its products and coordinating such research activities.
- (i) Reaching consolidations with international organizations working for similar interests with agreement of Minister.
- (j) Giving directions to the Minister on all matters affecting coconut industry.
- (k) Taking all steps as felt by the Authority to develop and revive coconut industry.

Powers vested in Authority as per section 31 of Act are given below.

Authority is empowered to take immediate action for all acts related to functions of 31 (1) of Authority or think it may fitting or.

All powers enshrined by Section 22 (2) (1) without prejudice to project to powers vested by sub section (2) (1) to be with the Boar or Authority with same make.

(3) One or few or a part of special powers vested by Section 23 can be vested to Board and Authority by an order published in Gazette when and where Minister may think fit of.

Foreign exchange of nearly Rs. 95 Billion has been earned Sri Lanka in the year 2018 from coconut industry sector and coconut and coconut related industries annually make a great contribution to gross domestic product.

When identifying and formulating main policies in respect of coconut industry development by the Ministry, help needed is given together with developing Preprocessing and Marketing Sections of coconut industry, supervision and implementing operations by Coconut Development Authority. Under it, 5 active sections named Process Development Section, Quality Control and Quality Assurance section, Marketing Development and Research section, Finance section and Administration each being led by a Director. In executing these functions, Engineering section and Internal Audit section too extend their support to the aforesaid sections.

The Chairman acts as the Chief Executive Officer of the Authority and policy / programmes worked out by Director Board with running affairs of Authority, supervision is undertaken by the Director General under whom Process Development Section, Quality Control and Quality Assurance section, Marketing Development and Research section, Finance section and Administration are run with directors. The approved cadre of the Authority is 259. Total number of employees on staff in the year 2018 was 198 and out of this, 32 are from Management category. []

Chairman's Review - 2018

Sri Lanka places on fourth in extent of coconut cultivating lands out of global agricultural land area. A large number of direct or indirect employments are generated in coconut and coconut based industries expanded on coconut triangle made up with Kurunegala, Puttalam and Gampaha. Coconut tree has a formidable relationship with economy of people and products of coconut tree are used for many purposes. Coconut occupies a leading role in day to day foods of people disseminating 15% calories and 5% protein and 70% of fat content required to the human body.

Average coconut harvest of Sri Lanka in the year 2018 2623 millions of nuts. It was 2450 in 2017 which was a remarkable development. By year 2019, it is expected an upswing up to 2900 millions of nuts.

According to government export strategic plan, a total revenue of 28 US Dollar Billion is expected from this. 500 millions of nuts have been used for coconut kernel based industries during the past three decade. Following year 2015, the said number of nuts has been increased up to 800 million. It is really an increase in volume and products like coconut milk, powder, cream etc. Coconut flour and coconut butter added to foreign market under the name of Sri Lanka took place only after 2015. Therefore, there is a high demand for coconut flour and coconut butter in foreign market. In reviewing achievements of coconut based industries in past years, it was clear that Activated Carbon has topped in revenue generation. It was 15 Billion boosting industrialists for a new venture providing a platform for new income booster.

Nutritious and power generating coconut water export that commissioned in the year 2015 has reached a growing level. An export income of Rs. 5.9 Million has been recorded by exporting king coconuts. Under this scenario, an improvement of product volume in this sector has been explored.



Udaya Rupasinghe
Chairman

Director General's Review - 2018

Coconut tree that called as *Cocos Nucifera* in its scientific call is not an indigenous tree of Sri Lanka is said to have come by currents of sea. Though exact time period of its invasion cannot be predicted it is successfully grown on salty soils of sea belt.

The coconut cultivation comprising about one million acres has been extended to more than 400000 hectares in Sri Lanka. Coconut is a tree successfully cultivated in many districts of Sri Lanka. This cultivation occupies more than 50% in current coconut triangle of Gampaha, Kurunegala and Puttalam.

Around 70% of coconut production in Sri Lanka is consumed for domestic needs which has become an indispensable item of foods. Further, Coconut and coconut leaves has a leading role in most of the cultural events of Sri Lankans. Around 5% of main agricultural export revenue in Sri Lanka is accounted by coconut. About 30% of total coconut production is used for coconut based industries in Sri Lanka. Most of these products are export oriented. Under the products classifications, various coconut products are exported by more than hundred coconut industrialists of Sri Lanka.

The prime task of Coconut Development Authority that has been commissioned under the provisions of Coconut Development Act No. 46 of 1971 is to attend the need of developing coconut industry in Sri Lanka. Accordingly, multifarious services are rendered to industrialists by Coconut Development Authority. Also monitoring of operations is also done by Authority.

Accordingly, Coconut Development Authority plays a key role in directing Sri Lankan industrialists for returning high quality coconut products surpassing what is currently available in world market.

Accordingly, more than 150 coconut and coconut based products are produced locally and out of that more than 35 products are exported to around 125 countries scattered in the world. By this, Sri Lanka had earned 585 USD million in the year 2017. It is expected to uplift this up to 1000 USD million by year 2020.

Around 30% is wasted by coconut milk squeezing by hand at domestic use of coconut and it is better to popular coconut power and milk coconut in the country as well. However, using of powered coconut or milky coconut by domestic house wife is still remain at a very low level.



A.H.L.D. Gamini Wijesinghe
Director General

Members of Director Board
From January up to December 2018

1. Mr. H.K. Udaya Rupasinghe –Chairman
2. Mr. Jayantha Jayawardana
3. Mr. Kapila Yakandawala
4. Mr. G. Suriyapperuma
5. Mr. R.B. Aththanayaka
6. Mr. F. Devasirivatham
7. Mr. S.P. Jayarathna
8. Miss. W.M.Y.T. Fernando
9. Mr. N.S. Wanasinghe
10. Mr. R.M.D.K. Namal Bandara
11. Mr. Chaminda Gamage
12. Mr. M.C.D.V. Aponsu

Sectional Heads including Chairman

- | | | |
|----|-------------------------------------|--|
| 1 | Mr. H.K.U.K. Rupasinghe | - Chairman |
| 2. | Mr. A.H.L. Gamini Wijesinghe | - Director General - (from 2017/04/03) |
| 3. | Mr. A.T. Ranasinghe | - Engineer |
| 4. | Mrs. S.S. Purasinghe | - Director (Quality Control & Standards Assurance) |
| 5. | Mrs. S.S. Rajakaruna | - Director (Administration) |
| 6. | Mrs. M.P. Sandaya Kanthi | - Director (Finance) |
| 7. | Mr. P. Edirimanna | - Director Acting (Process Development) |
| 8. | Mr. P.A.S.K, Sampath Samarawickrama | -Director(Marketing Development & Research) |
| 9. | Mr. W.M.T.S. Weerasuriya | - Internal Auditor |

Chairman & Board of Directors



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The main thrust of Processing Development Division is to monitor and develop coconut based industry. Under that, following outstanding measures have been taken in the year 2018.

- Registering coconut based industry units and conducting day to day inspections
- Inspecting and monitoring coconut based industries, store equipment & machineries.
- Local and international certifications and development of coconut kernel based and non kernel industries.
- Developing coconut coir industry.
- Giving directions for financial assistance to coconut based entrepreneurs.
- Providing financial allocations for renovations under Mill Development Fund for desiccated coconut industry.

Through the afore given interventions, it was expected to increase production quality by monitoring coconut based industries and to elevate targeted export income.

Projects and programmes implemented under main thrust in Processing Development Division in year 2018 are given below.

1. Running industry in accordance with existing laws and regulations through registering coconut based industries.
2. Inspecting coconut productions institutes, collecting samples and referring industrialists for maintain standards of coconut related products by issuing Microbiology and physical standards.
3. Developing industry by implementing soft loan schemes in collaboration with People's Bank and Regional Development Bank for betterment of coconut related industrialists.
4. Providing financial assistance for renovations under Mill Development Fund for Desiccated Coconut industrialists.
5. Improving quality of finished goods and production process by contributing to audit activities in getting Better Quality Systems and International Quality certifications of non kernel and Quality certification on Food Security of Coconut kernel based industries of ISO 22000.
6. Providing investment assistance to construct proper drying yards for coconut coir mill industries.
7. Implementing technology transfer programmes for introducing value added products in traditional coir production industry.
8. Skill development of active and efficient employment of staff in Processing Development Division.
9. Obtaining ISO 17020:2012 assurance certificate
10. Establishing regional offices for streamlining functions of Coconut Development Authority

1. Registering coconut based industries

Registration of coconut based producers and suppliers for the year 2018 had started from November 2017. Applications of registration are issued from Coconut Development Authority Fort office on Duke Street, Colombo 01 and regional offices located in Kurunegala, Gampaha, Puttalam, Galle, Ratnapura and Matara.

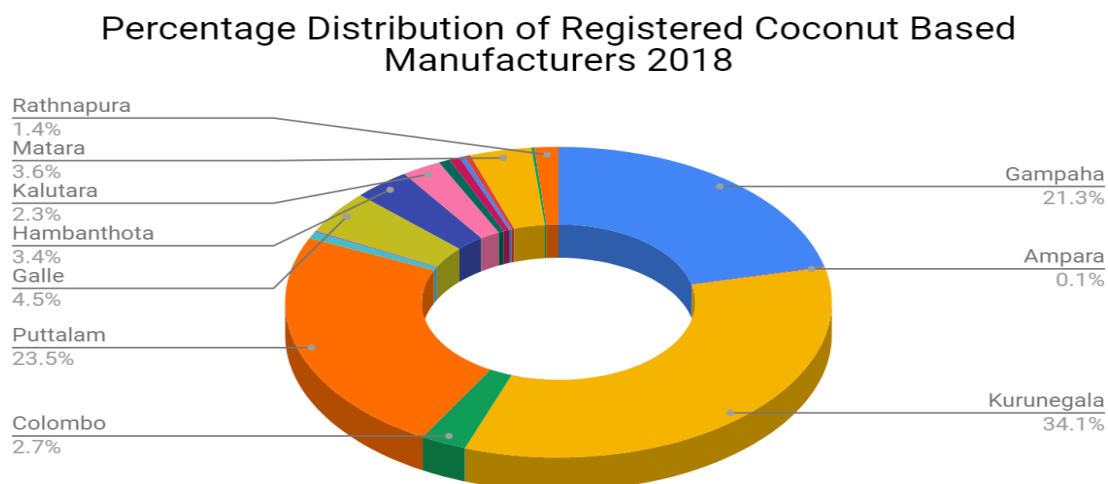
Coconut Related Products Manufacturer/Processor Registration					
	Product type	2015	2016	2017	2018
1	Desiccated Coconut	52	50	50	46
2	Creamed Coconut	6	12	13	15
3	Coconut Cream	5	10	9	9
4	Copra Oil	84	80	59	69
5	Virgin Coconut Oil	91	80	65	58
6	Industrial Coconut Oil	*	4	9	6
7	Coconut Water	10	20	21	22
8	Coconut Vinegar	1	1	1	1
9	Paring Coconut Oil	*	16	27	23
10	Coconut Milk Manufacturer/Processor	9	16	16	23
11	Powdered Coconut Milk	1	3	4	4
12	Coconut Milk Related Products	*	4	4	4
13	Activated Carbon	8	8	8	9
14	Fibre/Coir Mills	158	203	191	342
15	Finish Products	92	131	105	133
16	Coir Fibre pith Substrate	118	138	112	117
17	Fibre Intermediate Products	*	8	22	31
18	Coconut Butter	*	2	4	3
19	Coconut Sugar	1	2	2	3
20	RBD Coconut Oil	*	4	6	7

21	Copra Mill	13	20	16	35
22	Coconut Spread	*	4	3	4
23	Shell Charcoal, Briquettes ,shell pieces & Powder	30	22	21	25
25	Coconut Shell Ornamental Products	*	5	4	6
26	White Coconut Oil	*		23	31
27	Other coconut based products	*	4	13	14
	Total	679	843	808	1040

Table 01 - Coconut Related Products Manufacturer/Processor Registration

In considering registered coconut based industries during last 03 year period by the Authority, a considerable upliftment is shown in registering coir, coir dust and other related products. Support extended by Authority for developing coir industry in special during years under review have caused increasing of this registration.

Considering total number of registration, the highest number of industrialists amounting to 34% are from Kurunegala district, 24% from Puttalam district and Gampaha has recorded 21%. Registering of all other districts is 18% and industrial distribution of coconut triangle is 79%.



Draft 02 - percentage Distribution of Registered coconut based manufacturers

2. Issuing micro organisms and physical quality certificates for coconut products

During the year 2018, 24,625.03 metric tons of desiccated coconut were produced and out of that stock daily desiccated samples of 6090 are received by the Processing Development Division for micro organisms and physical parameters. 809 quality certificates have been issued and downward production is shown even in year 2018 such as that in year 2017. It is a downfall of 17%.

Certifications	No. certifications issued	
	2017	2018
Salmonella Free	347	320
Physical Quality	347	320
Aflatoxin Free	211	84
Sulphur Dioxide Free	150	85
Total	1394	809

Table 02- No. certifications issued

- The following test reports have been issued on result sheet reflected by laboratory which report back quality of coir, coconut oil, poonac, Copra, desiccated coconut, desiccated coconut with less fat and coconut milk specimen handed over voluntarily by exporters and producers.

Type of Products	No. of reports issued		
	2018	2017	2016
Coir	187	184	135
Coconut oil	341	332	191
Desiccated coconut	13	42	58
Desiccated coconut with less fat	144	121	112
Coconut milk	3	7	4
Total Plate Count	259	264	257
Coir pith	68	-	-

Coconut Water	7	-	-
Coconut sugar	1	-	-
Water	79	-	-

Table 03- No. of reports issued

These analysis reports are specifically applied for export shipments, which is an increase in the number applied for analysis reports compared to previous years. Increased demand for value added products is a positive trend for the export market.

3. Annual Desiccated Coconut production - 2018

- Annual desiccated coconut production in the year 2018 is 24,625.03 metric tons and monthly production is given in the following table.

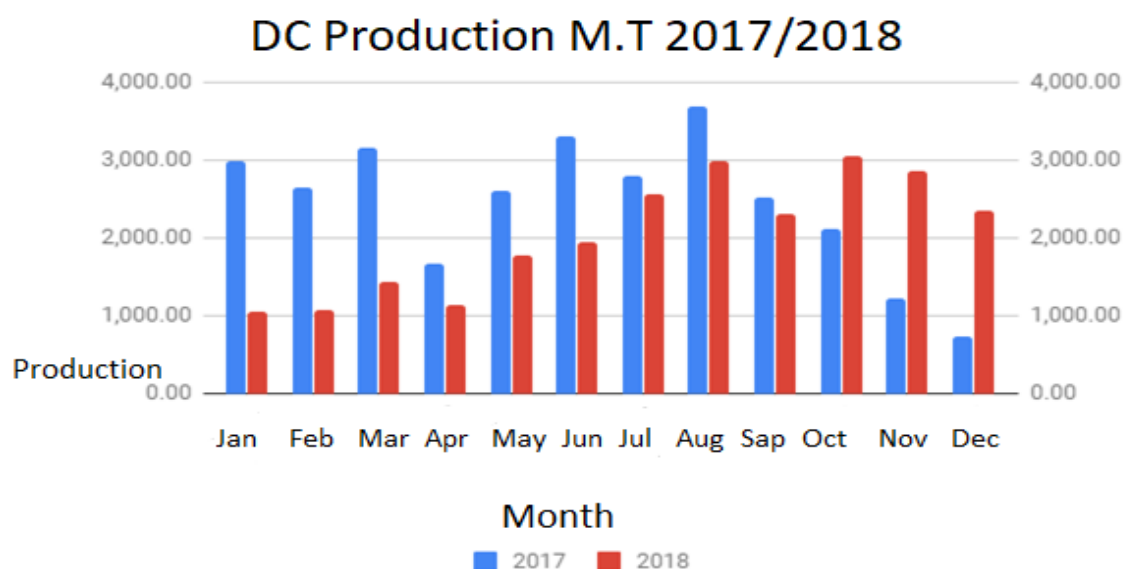
Month	Desiccated Coconut production (M.ton)
January	1,068.35
February	1,085.76
March	1,438.28
April	1,133.25
May	1,777.80
June	1,958.44
July	2,565.62
August	2,995.28
September	2,312.53
October	3,063.21
November	2,868.44
December	2,358.07
Total	24,625.03

Table 04- Desiccated Coconut production

Figure 2 shows a monthly comparative note of Desiccated coconut products in years of 2018 and 2017. General annual produce of Desiccated coconut was realized in the year 2018 due to profilteration of coconut harvest in the last quarter of the said year.

4. Financial provision for renovations under Mill Development Fund for desiccated coconut mills

- 20 cents out of each one kilo of desiccated coconut so produced is credited against the Desiccated Coconut Fund set up in name of Desiccated coconut manufacturing facilities. Financial allocations is made at time of need for renovations of institute concerned. Accordingly, a sum of Rs. 4,458,949.92 is credited to the Mill Development Fund for 50 institutes engaged in producing desiccated products in the year 2018 out of total number of desiccated mills numbering 42.



draft 02 - DC Production (M.T)

Month	Contribution for Mill Development Fund - Rs.
January	176,125.21
February	189,686.78
March	260,287.70
April	206,014.37
May	328,731.24
June	342,389.05
July	454,954.24
August	540,049.48

September	416,830.36
October	579,708.20
November	540,898.52
December	423,274.77
Total amount Rs.	4,458,949.92

Table 05 - Contribution for Mill Development

- Rs. 0.848 Mn. has reimbursed for development activities such as tarring areas of two desiccated mills, net covering around coconut pre processing section. Further, a sum of Rs. 0.970 Mn. has been applied to procure a mill, metal detection equipment's.

5. Soft loan scheme implemented by People's Bank and Regional Development Bank for coconut based industrialists.

- Soft interest loan schemes aimed at alluring small and medium scale industrialists following MOU signed on 25.02.2012 with Regional Development Bank for Kapruka Jaya Isura loan scheme and MOU signed on 16.05.2012 with Kapruka Nipeyum Diriya Loan Scheme with People's bank for developing industries were implemented in the year 2018.
- By the Kapruka Jaya Isura loan scheme of People's Bank industrialist is relieved to pay the said loan by 60 installments under bank commercial interest. The said loan scheme is worked out for industrialist to claim an interest of 6% at the end of year. The interest overcharged from industrialist is reimbursed to industrialist himself by the authority. By Kapruka Jaya Isura loan scheme of Regional Development Bank, loans are issued directly to industrialist under annual interest of 6%.
- Interest reimbursed for pay back to bank and industrialist under Kapruka Nipeyum Diriya Loan Scheme of People's Bank is a current expenditure to Bank. But, industrialist who obtained loan under the Kapruka Jaya Isura loan scheme of Regional Development Bank directly pay back loan installment related to the bank under annual interest of 6%. As such, interest under loan scheme is not a current expenditure to Authority but secured to Bank from authority under the financing system.
- Details of loan provisions under the two loan categories of Kapruka Jaya Isura loan scheme of Regional Development Bank to industrialist who had got registration and secured loans are given below.

Year	Industrialists who obtained loans (No. of applications)	Loan amount (Rs.)	Interest to be paid to bank	Industrialists who obtained loans (No. of applications)	Loan amount (Rs.)	Interest to be paid to bank
2012	16	7.490				
2013	78	79.530	3.075	85	3.052	66
2014	45	31.594	4.677	161	4.507	105
2015	33	13.590	8.065	184	4.827	110
2016	06	3.315	3.199	175	4.026	103
2017	-	-	3.617	153	2.624	92
2018	09	9.16	1.059	118	1.056	66

Table 06 - RDB/ Peoples Bank loans details

Description	2017			2018		
	No. of loan receivers	Loan (Rs. Mn.)	Loan balance to be recovered (Rs. Mn.)	No. of loan receivers	Loan (Rs. Mn.)	Loan balance to be recovered (Rs. Mn.)
Ongoing	147	114.20	25.18	69	63.83	19.08
Completed	57	35.88	-	18	16.39	-
Inactive	21	14.49	6.10	19	11.99	5.45
As at 31.12	69	63.83	19.08	70	59.43	27.04

Table 07 - RDB/Peoples Bank loans details

Year	Bank recommendation						Authority recommended			
	No. of interest relief		Loan Rs. Mn.		interest relief Rs.		Interest paid		Interest paid Rs.	
	2017	2018	2017	2018	2017	2018	2017	2018	2017	2018
1 st quarter	151	118	120.1	93.13	1.300	0.532	92	66	0.998	0.378
2 nd quarter	147	94	115.9	73.56	0.855	0.437	82	52	0.585	0.279
3 rd quarter	136	76	85.68	61.46	0.764	0.340	79	43	0.536	0.229
4 th quarter	129	68	77.28	54.49	0.712	0.200	74	37	0.504	0.137
Total					3.631	1.509			2.623	1.023

Table 08- RDB/Peoples Bank loans details

Year	2017	2018
Bank recommended interest (Rs.)	3.631	1.509
Payments by Authority (Rs.)	2.623	1.023
Percentage of bank recommended payments	72.2%	67.8%

Table 09- RDB/Peoples Bank loans details

	No. applicants	Outstanding loans at year fall & loans disbursed during year (Rs. Mn.)	Outstanding loans at year end (Rs. Mn.)
2017	15	13.26	12.432
2018	59	12.432	57.332

Table 10- RDB/Peoples Bank loans details

No. of applications received by Authority – as at 2018.12.31	113
No. applications released loan in year 2018	44
Loan related	49,400,000.00

Table 11 - RDB/Peoples Bank loans details

- In view of educating industrialists on Kapruka loan scheme based on North East provinces 6 workshops were held in the year 2018 with participation of Coconut Cultivation officers with support of Divisional Secretariats in said areas.
- Workshops in main districts were held for industrialists who obtained loans disseminating financial management, tracing market issues and how to introduce own products to market and the participants therein were offered with certificates.

Types of support given by the Authority for development of each industry i.e. procuring machineries, construction of buildings as well as for renovations are abbreviated given below.

	Kapruka “Jaya Isura” loan scheme		Kapruka “Jaya Isura” loan scheme		Grand total	
Industry	Amount	No.	Amount	No.	Sub total	No.
Coconut oil	15,150,000.00	28	10,100,000.00	9	25,250,000.00	37
Coir fibre	11,285,000.00	8	55,989,211.69	49	67,274,211.69	57
Coir fibre based finished products	8,810,000.00	10	8,404,000.00	6	17,214,000.00	16
Coconut shell charcoal	1,200,000.00	5	5,000,000.00	4	6,200,000.00	9
Ornamental items based on coconut shells	4,500,000.00	4	1,500,000.00	2	6,000,000.00	6
Desiccated coconut	2,000,000.00	1		0	2,000,000.00	1
Coir pith	5,325,000.00	4		0	5,325,000.00	4
White coconut oil	2,000,000.00	1		0	2,000,000.00	1
Grand total	50,270,000.00	61	80,993,211.69	70	131,263,211.69	126

Table 12- Kapruka “Jaya Isura” loan scheme

5. Working out systems for quality rich coconut oil producers and consumers

Action was taken to motivate industrialists for producing high quality coconut oil going by Sri Lankan standard considering current products and what is available in open market and to educate people of the importance of quality rich coconut oil use.

1. Accordingly, 07 awareness raising programs were held in 06 districts for educating coconut oil and Copra manufactures in the country. There, they were educated on following by discussing them with 306 manufactures. They were educated how to produce high quality coconut oil.

- Standard adopted in Sri Lanka for coconut and Copra and issues faced by use of inferior quality coconut oil
- How market welcome quality rich pure coconut oil and how it is extracted.
- Gains entailed with producing quality products
- Using new technology for coconut oil extraction and copra production
- Introducing packed coconut oil to market
- Issues in coconut oil sale and remedies for them

2. Investigating coconut oil and Copra samples coconut and Copra producers

- 104 coconut oil samples and 50 samples of Copra were collected for checking physical chemical and micro biological tests in ensuring standard of coconut oil and copra produced in Sri Lanka. According to survey reports concerned, instructions have been given to producer for minimizing downfalls in production line.

3. Issuing an emblem authorized by Authority for quality coconut oil

- Preliminary actions are being taken to issue an emblem of Coconut Development Authority for coconut oil issued to market with label carrying a trade name in place enabling consumer to easily identify quality rich coconut oil available in the market.

6. Developing coconut coir factories

6.1. Assisting for infrastructure facility development in coir factories

Coir industry could be fully developed by providing infrastructure development directly related to production, upgrading standard of production and encouraging value added products. Even such, most of the coir producers are not capable enough to bear cost for development purposes though cost related with working capital requirements could be met.

Therefore, The Authority anticipated a revolutionary development in coir mills by assisting to following identified development activities including drying yards of coir mills.

1. Constructing formal dry yard
2. Developing soaking pit
3. Upgrading product store facilities
4. Constructing conveyor systems

This system initiated in the year 2016 had planned to develop 250 coir mills. Accordingly, it was able to assist 50 enterprises in the year 2017 and 49 in the current year. The total progress achieved so far is 39%.

Though it was planned to provide investment assistance to 60 coir producers for developing drying yards, soaking pits, storing facilities and construction of container yards in accordance with priority order of the year 2018, able to assist 46 coir industrialists by end of construction date. The annual progress is 76%.



Pic 01 - Assisting for infrastructure facility development in coir factories

6.2 Certification on proper production access for coir millers

- With the aim of reaching coconut coir millers to improve standard of coconut coir leading to grasp a permanent market, 11 workshops on educating on GMP of said industry were held in the year 2017. As a result of this awareness creation, 55 coir millers had applied for GMP certificate within the year 2018.
- 97 factories brought under auditing with the supervision of the Authority. 08 millers who secured certificates for the first time by overcoming audit deficiencies were reimbursed maximum of Rs. 30,000/-, the cost for GMP certificate. The transport required for certifications was provided by the Authority.

6.3 Conducting awareness raising programmes

- Industrialists who had got investment in the year 2017 were educated at Dunkannawa Coir Development and Training Centre with the purpose of encouraging Bristol coir production.
- Coir pith industrialists were summoned and educated on maintaining high quality production with samples of coir pith factories.
- Conducting an awareness raising programmes for representatives of institutes such as Sri Lanka Standards Institution, Control Union, Indexpo with the aim of referring to GMP by industries suitable for investment assistance in year 2018 and GMP industrialists who obtained investment assistance in year 2017.



Pic 02 -Conducting awareness raising programmes

7. Regulating maintain local and international standards on coconut based products

7.1 Survey process of coir and coir pith samples

- Coir and coir pith samples were collected to regularize production process by observing instances where derailments of standard and to educate on standards of coir and coir pith produced by local coir product millers.
- The physical condition of 68 coir and coir pith samples collected from handpicked 120 coir industries through coir survey lab in Dunkannawa Coir Products Training Centre were formally checked free of charge.
- Millers were directed to adjust themselves at times of their derailments of standards.

7.2 Fresh coconut oil sample surveying process

- The main objective of this survey is to take necessary action to correct incompatibles with SLS 32 Standard for fresh coconut oil and production quality as per survey reports.
- Surveys were done under survey parameters of free fatty acids, colour, moisture, Iodine value and aerobic plate count in fresh coconut samples through lab of authority.
- Surveys of first sample taken from every registered institute for checking feasibility test of this new system were done free of charge and for the second sample was charged half of the due amount.
- During this period, decisions were not taken for export stock based on lab outcomes but data needed for taking decisions on how this system is applied for each factory by supervisors was collected.
- Investigation reports related to 33 samples in first stage have been already released and no incompatibles with SLS 32 have been reported based on said reports. The reason behind this is to maintaining high production standard by fresh coconut oil millers.

7.3. Coconut milk product sample surveying process

- In year 2018, 20 coconut milk factories and 03 coconut milk producers have been registered. Out of this, 03 factories cater for local and foreign markets and others deal coconut milk products by using various packaging. Coconut milk and powdered

coconut milk samples were checked to ascertain whether the taste and nutritious levels of processed coconut milk are compatible with natural coconut milk.

- Accordingly, 20 coconut milk samples from 20 coconut milk producers and 03 samples from powdered coconut milk factories making all as 23 samples were checked at Technical Technological Institute and proved availability of high quality products in the market.
- Waste effected at domestic coconut consumption had caused damage to supply line of coconut industry. Due to this, around two third of overall coconut production is used for domestic usage, around 35% is wasted from that portion due to inefficiency at coconut milk extraction. A series of public awareness programmes on transforming to use coconut milk and coconut milk powder at domestic usage and minimizing waste have been started on coconut triangle in line with the International Coconut Day.



Pic 03 - promotion programmes

7.4. Quality Assurance system on ISO 22000:2005 Food Security for coconut kernel based industries and assisting Standard system audit on GMP for non coconut kernel based industries

ISO 22000:2005 means a Standard Certification system confirming safety of usage. This standard certificate has been made compulsory for coconut kernel and water based products. The prime objective of is to create a high quality product by introducing effective and formidable system with international standards. Through this, market to flow with quality rich advanced items and industrialist too can earn a victorious place in the market.

Here, a field officer trained with auditing is referred in auditing certification institute accredited with SLA and IFA. According to the observation report given by said officer is referred to take action to iron out deficiencies in institutes.

System certification	Coconut based products	No. of audit inspection held in 2018
ISO 22000:2005 	Virgin coconut oil VCO	33
	Desiccated coconut DC	25
	Coconut milk MK	10
	Coconut cream CC	7
	Coconut Water Wt	7
	Coconut treacle CT	2
	Refined, Bleached, Deodorized oil RBD	2
	Coconut butter BU	1
	Coconut Syrup Syr	1
	Coconut milk related products MRP	1
	Coconut Flour	1

Table 13- No. of audit inspection held in 2018

GMP is a standard system ensuring proper production process. This certification has been made indispensable in registering coir based products and coir pith products. The Process

Development Section assists in upgrading production process and quality of finished products through contributing to auditing in systems in offering this certifications.

System certification	Coconut based products	No. of audit inspection held in 2018
GMP 	FM Coir fibre	93
	SUB Coir pith layers	48

Table 14 - No. of audit inspection held in 2018

8. Implementing technology exchange programmes for introducing value added products in traditional industries and developing skills for efficient and fruitful employing of staff

8.1 Developing skills for efficient and fruitful employing of staff

On necessity to more efficient and fruitful functioning of duties vested to Processing Development Division and getting more services from the staff, human development programmes were planned in the year 2018. Accordingly, the planned programmes were set on sail.

There, as a preliminary action staff of Processing Development Division was trained to update their duties and audit training on ISO/GMP certification. The programmes so implemented are given below.

❖ Courses on ISO/ GMP

- Workshop on internal auditing ISO 22000
- Internal auditing Training On ISO/IEC 17020:2012
- General Training On ISO/IEC 17020:2012

❖ Courses on office works

- Administrative training (office management & financial regulations)
- Replying to audit queries
- Skills development of Management Assistants

In addition, actions were taken to conduct progress review meetings in every month with the intention of updating knowledge of field staff.

8.2 Implementing technology exchange programmes for introducing value added products in traditional industries

a) Two awareness creating workshops were organized for educating desiccated coconut and fresh coconut with the notion of diverting on product proliferation and value added items meeting demand of local and international markets.

,

- Production of Oleo-chemicals by using coconut oil as a raw material, technological ways applied in manufacturing of Oleo-chemicals and types of Oleo-chemicals and characteristics
- Basic technological systems on cosmetics and personal/health care products using Oleo-chemicals
- Awareness on standard requirements related to cosmetics and health/personnel care products on coconut kernel based products was done.

b) Two day training workshop on Efficient Operation of Waste Water Treatment Plants and Handling of Treated Water, solid Waste and Air Emissions were held creating awareness on desiccated coconut and coir pith millers.

c) Opportunity was given to take part in 02 foreign training courses and 01 seminar in this year as a basic step of broad basing technology on coconut based industries and machineries for officers attached to the Coconut Development Authority, coconut producers and coconut cultivators.

d) Foreign tour for acquiring technological knowledge on cor and coir based products - Indian Institute of Plantation Management -Sustainable Management of Coir Industry to Delight End Users Date: 26-02-2018 (Monday) to 03-03-2018 (Saturday) (Residential Program)

Awareness programmes on programme sessions were done based on following basics.

- Vision 2020 for Coir Sector and Diversification for End Users & Infrastructure for Coir Manufacturing
- Strategy for Procurement of Consistent Quality and Quantity (Q2) of Coir from Producers as Raw Materials for Value Creation by the Industry: M4 Perspective

- Experiential Learning on Coir Value Addition / Innovation for End Users: Sakthi Coco products Industry Perspective
- Orientation at IIPM and Display of Coconut Value Added Products and Tasting
- Visit to Central Institute of Coir Technology (CICT), Bangalore: Machinery and Infrastructure for Coir Manufacturing Field Practicum :
- Visit to Sakthi Coco Products Ltd. / Sakthi Coir Exports Pvt. Ltd., / Sakthi Co-operative Industrial Estate, Pollachi, Tamil Nadu
- Visit to Central Coir Research Institute (CCRI) /National Coir Training & Design Centre (NCTDC) / Coir Mark Scheme / Hindustan Coir, Alleppey, Kerala
- Visit to Godwell Engineering Products, Coimbatore, Tamil Nadu

e) Participation at 48th APCC COCOTECH summit & exhibition

The 48thAPCC COCOTECH summit and exhibition for updating knowledge on expandable product diversification in the sector, suitable technology development and updating knowledge on international trends in research and coconut sector was graced by 02 staff grade officers of authority, 03 coconut growers and 06 coconut based millers representing all sectors of industry. It was held with effect from 20.08.2018 up to 24th in city of Bangkok, Thailand.

f) Training workshop on Palm cultivation - Thailand

Palm cultivation in Sri Lanka and processing have been started. As there a trend is seen for cultivating palm in the country, 03 staff officers from Processing Development Division participated in training workshop held in Thailand which is the largest palm oil producers joining with Siyem university, National Plantation Management Institute in Thailand with the aim of educating to develop and regulating this industry.





Pic 04 - Training workshop on Palm cultivation - Thailand

9. Obtaining ISO 17020:2012 accreditation for the inspection activities carried out by the Processing Development Division



According to a Cabinet decision taken on 20.01.2016, it has been indispensable to have valuation procedures and accreditation of Sri Lanka Accreditation Board for Assurance Boards under consumer protection perspectives of taking vocational decisions.

With its decisions, initiatives are taken to get compliance certificates by Processing Development Division. The international Standard certificate system for getting valuation on said compliance for inspection bodies is ISO 17020:2012. In this standard, all requirements needed for smooth running of procedures of various inspection bodies are submitted. It is expected to utilize for absconding failures and complexities of these checks and to have smooth running of institutional activities without any hindrance.

The Internal audit and Management review meeting were held in this year and applied to Sri Lanka Accreditation Board with documents concerned for setting date for the first audit.

Manuals, documents and records needed to acquire this standard certificate have been prepared and officers, senior inspectors and inspectors of Processing Development Division who were instrumental in getting this Standard certificate got participated at training in Sri Lanka Accreditation Board.

10. Establishing regional offices for decentralizing the mission of Coconut Development Authority



Pic 05 - Regional office, Puttala
Regional office, Puttalam – No. 217, Kolinjadiya, Wennappuwa



Pic 06- Regional office, Kurunegala
Regional office, Kurunegala –No. 1/320, Negombo Road, New Malkaduwwa,
Kurunegala



Regional office, Gampaha
No. 133, 4th floor, Ward City building,
Mary Biso Mawatha, Gampaha



Pic 07-Regional office, Galle

4. Regional office, Galle - No. 18, Bope Road, Gintota, Galle
5. Regional office, Embilipitiya - No. 62, Rathnayaka Building, Main Street, Embilipitiya
6. Regional office, Matara - No.24,Kotikagoda Temple Mawatha, Athagahapu junction
 Walgama, Matara

Project Unit

Conducting programs with the aim of developing small scale industry by alleviating coconut based raw material waste is done by this Unit.

1. Providing technical training and assistance required to commence domestic industries for uplifting rural economy by identifying areas abundant in coconut based raw materials.
2. Structuring existing small scale industries and empowering Kapruka industrial societies
3. Organizing coconut based products areas for a quality produces and providing equipment's and tools required by said groups.

1. Technological training& giving assistance

Training programmes are conducted based on requests from public institutes, Kapruka Industrial Societies, other societies and Divisional Secretariats. Here, providing self employment opportunities to low income earners by giving them equipments and tools for encouraging quality products and driving community towards additional income generation. Action was taken to provide formal training to persons in rehabilitation centers attached to office of Rehabilitation Commissioner General leading them to be assets to the very society they are in.



Pic - 08 Technical Programmes

	Training programme	Date held	Area & District	No. participatants
1.	Coir based products (Tawashi brushes)	2018/01/26-28	Kithulgala, Kegalle	30
		2018/02/01-03	Bulathkohupitiya, Kegalle	20
		2018/03/22-24	Hidagolla, Kurunegala	25

		2018/04/04-06	Pallama, Puttalam	25
		2018/06/07-09	Bibila, Monaragala	35
		2018/07/06-07	Pothupitiya, Kalutara	25
		2018/06/12-13	Abepussa Army camp	75-100
		2018/08/06	Polonnaruwa	40
		2018/09/13	Polonnaruwa	75
		2018/12/26-28	Nagasthalawa, Polonnaruwa	35
2.	Ekel broom and broom production	2018/01/25-27	Rehabilitation camp, Kandakaduwa, Polonnaruwa	50
		2018/10/19-20	Agalawatta, Kalutara	25
		2018/10/30-31	Meerigama, Gampaha	27
		201/12/20	Kathduwa, Matara	16
		2018/12/26-28	Nagasthalawa, Polonnaruwa	16
3.	Floor mat production	2018/06/14-16	Katuwellegama, Gampaha	20
4.	Char coal production	2018/09/06	Matara	32
		2018/09/13	Polonnaruwa	55
5.	All coconut based products	2018/06/19-20	Kinniya Army camp, Trincomalee	75-100
Total				551

Table 15 - Training Programme

Date	Programme	Area & District	No. participants
2018/08/15	Awareness creation on coconut based products	Kurunegala	100
2018/10/24	Awareness creation on brush producers	Head office	18

Table 16 - Technical Programme

02. Sri Lanka is known as a major land of producing and exporting coir products and Bristol coir can be named as the most value added product among the other coir products. Sri Lanka is the main country which produced Bristol coir. The average annual Bristol coir output of our country is around 30,000 tons which has been reduced at present due to lack of raw materials in face of adverse weather conditions in foregoing years and lack of recognition of industrialists about system adopted for Bristol coir production.

As a way out for this, introducing a Bristol coir producing machine with automatic husk entering which was developed locally and introduced by Innovation Commission take place at CRT exhibition held in 2017. Concessionary investment package was introduced by the Authority with the ceiling of Rs. 400,000/-, half the value of machine taking into consideration of marvelous interest shown by industrialists for this machine.

	Name of institute	Area & District
1.	Esara coir mill	Medirigiriya, Polonnaruwa
2.	Ruwan coir mill	Agunakolapelessa, Hambantota
3.	Nadan S.T.R. Enterprises	Kilinochchi
4.	Kokun Lanka Pvt. Company	Pamunugama, Gampaha

Table 17 - Loan for machines

2. Structuring small scale enterprises and making them as stable Kapurka industrial societies

Already 25 Kapruka Industrial Societies have been established by grouping industrialists engaged in coconut based industries and by conducting awareness programmes. In this, technical know how and tools are given for encouraging low income earners and coconut and coconut based domestic and small scale industrialists in implementing programs. The said societies are registered as Industrial Societies of Kapruka Fund Management Board.

District	DS division	Industrial society name	No. of societies
Kurunegala	Bingiriya Wariyapola Wariyapola Maspotha Kuliyapitiya Galgamuwa Maspotha Maspotha Maspotha	Dilena Tharu Kapruka society Madatuwa Supipi Kapruka society Ekamuthu coconut shell based Kapruka society Diriyashakthi coconut shell based Kapruka society Muruthenge Thawashi Brush producing society Jayalanda Thawashi Brush Society Samagi Kapruka industrial society Swashakthi Kapruka industrial society	12

	Udubaddawa Kuliyapitiya Pannala	Wilgamdemata Kapruka industrial society Pahala Yahamwela Liyasevana Kapruka Society Beminigolla Kapruka industrial society Nedalagamuwa Ekamuthu coconut charcoal society	
Kalutara	Kaluthara Horana	Ekamuthu Self Employment Society, Pothupitiya East Shramshakthi self employment Society, Kuda Waskaduwa Handupelpola Kapruka society	03
Galle	Balapitiya	Jambugahawatta Kapruka industrial society Ampe Kapruka industrial society, Balapitiya	02
Matara	Thihagoda	Samagi Kapruka society	01
Hambantota	Weeraketiya Tangalle	Diriya Isuru Kapruka society Kudawella Ekamuthu Kapruka society	02
Puttalam	Pallama	Diriya Aruna Kapruka industrial society	01
Gampaha	Divulapitiya	Coconut based industrial society	01
Kegalle	Galigamuwa	Uruladeniya Kapruka industrial society	01
Monaragala	Medagama	Self Employment Forum	01
Nuwaraeliya	Haguranketha	Kadurata Kapruka society	01
Total			25

Table 18 - registered kapruka society's

Two training workshops were held at the following places regarding maintaining books documents of Kapruka societies, keeping accounts and projects.

- North Western provincial education development centre, Wariyapola - 2018/05/24 - 2018/05/25
- Coconut Development Authority, No. 11, Duke Street, Colombo - 2018/06/25 - 2018/06/26

3. Organizing coconut based production areas for quality products and providing equipment's and tools for such groups on need

Informal running of coconut and coconut based small scale industries are seen in various fields and most of them are export oriented. Steps are taken to provide equipment and tools to low income earners for utilizing new technology for traditional industries and issuing machineries on concessionary level.

No.	Tool type	Area of receipt	Size
1.	Tawashi machines	Kithulgala/ Meddawaththa	34
		Pothupitiya/ Kaluthara	20

	Coir cutting Equipments Wire cutting tools	Waskaduwa /Kaluthara	15
		Kithulgala/ Meddawaththa	01
		Pothupitiya/ Kaluthara	01
		Pothupitiya/ Kaluthara	01
03	Twube machines & ekel broom equipments	Matara	05
		Kudawella / Hambantota	05
		Matara / Pitabeddara	01
04	Coconut shell based artefacts (Bench Grinder)	Deniyaya / Matara	01
Total			84

Table 19- providing equipment's and tools

The young ones got participated at following exhibitions with the intention of getting them contributed to development process for social, economic and cultural empowering youth population in districts.

Date	Exhibition	Venue
2018/03/28 - 01	Yowunpuraya	Nikaweratiya / Kurunegala
2018/08/29 - 31	Enterprise Sri Lanka	Monaragala
2018/09/19 - 21	Rice of East 2018 exhibition	Batticloa
2018/10/03 - 07	19+ Educational, vocational exhibition	Kuliyapitiya/ Kurunegala

Table 20 - Local exhibition



Pic 09 - Local Exhibition

The major responsibility of the Quality Control and Quality Assurance Division is to certify the quality of stocks which are scheduled to be exported through the implementation of programmes pertaining to Quality Control provision of testing facilities as per the requirements of different applicants, issuance or certificates subsequent to testing the coconut based product at the point of forwarding them to the local markets and provision of consultancy services for the maintenance of high quality coconut based products.

The function of the Division

1. Testing of coconut products which are scheduled for exportation and certification of their quality.

- Conducting of Microbiological and Physico-chemical tests for desiccated coconut

The Desiccated Coconut Industry which is the prominent Coconut kernel based product industry of the coconut manufacturing field is mainly subjected to a proper quality controlling procedure and all the daily production of Desiccated Coconut is tested daily at the Quality Control and Quality Assurance Division. These tests are very helpful for the issuance of the quality assurance certificates pertaining to the products which are to be exported.

- Testing of coir fibre pith products

2. Conducting of the laboratory testing services as a service rendered for the coconut based manufactures, exporters and consumers under a concessionary charging system.

The Quality Control and Quality Assurance Division is equipped with the facilities for conducting the Microbiological and Physico Chemical Tests as stipulated in the standards for the Coconut based products issued by the Sri Lanka Standards Institution and the accelerated testing services are carried out by the division at a concessionary charging system for the benefit of the entrepreneurs engaged in the Coconut Industry.

3. Conducting of Microbiological and Physico-chemical testing with the Objective of Enhancing the Manufacturing Process of the Desiccated Coconut.

In addition to tests conducted at the Laboratory of the Authority, Microbiological and Chemical tests are carried out by the Mobile Laboratory Services of the Authority in order to improve the manufacturing process of coconut and to maintain higher quality products.

4. **Performance of functions for obtaining accreditation in relation to the ISO 17025 Quality Assurance Certification for Chemical and Microbiological Laboratories of the Quality Control and Quality Assurance Division.**
5. **Examination of the hygienic condition of Coconut Oil manufacturing mills with the objective of maintaining and uplifting the Coconut Oil industry in a hygienic condition and to test whether copra the raw material used in the manufacture of Coconut Oil, Coconut Oil the product and poonac its by product are in conformity with the Sri Lanka standards.**
6. **While testing the quality of coconut oil products available in the local market , provision of services for preventing the consumers from consuming adulterated coconut oil by providing the details on the coconut oil dealers who adulterate coconut oil to the Consumer Affairs Authority which is the controlling body in relation to consumer affairs and to the Food Controlling Unit of the Ministry of Health which is the Controlling Authority in relation to food items in collaboration with the said institutions.**
7. **Conducting tests on products as investigations conducted over local and foreign complaints that are lodged in relation to coconut based products.**
8. **Participating in programmes and exhibitions conducted with a view to providing awareness on the significance of coconut based products.**
9. **Continuation of testing Services for other food products.**
10. **Updating the currently existing Standards of Sri Lanka and implementation of programmes in collaboration with Sri Lanka Standards Institution with the objective of preparing standards for coconut based products which have not yet been standardized.**
11. **Conducting training programmes for the staff employed in laboratories, maintained at the factories which manufacture coconut based products.**

Accordingly, Quality Control and Quality Assurance Division of the Coconut Development Authority produce testing services, growth in the local and foreign markets with high quality coconut products. Functions are being conducted for obtaining the ISO 17025 Accreditation for Laboratories in order to provide this service in a much standardized way. All these functions are performed according to the Annual Action plan and the annual progress for the year 2018 has been mentioned below.

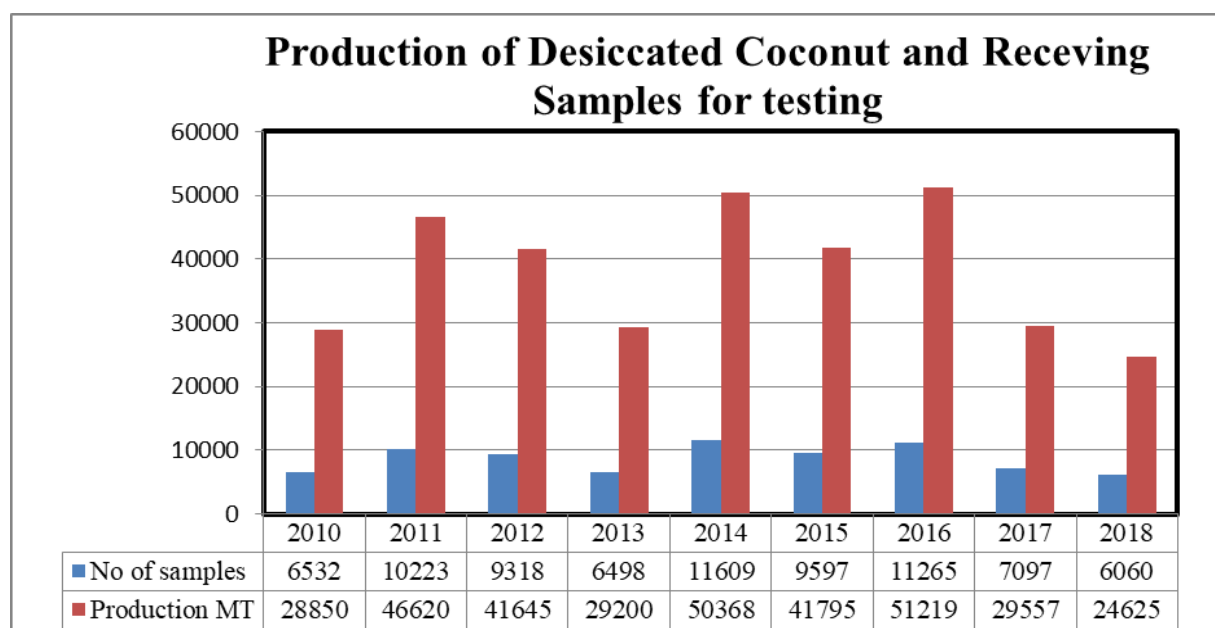
Q1. Certification of the Quality of the Coconut Products which are for Exportation and for Local Consumption.

A. Conducting Pre- Export Microbiological Analysis and Certification of Coconut Products.

Desiccated Coconuts mainly undergo tests which are specified for coconut kernel based products. Salmonella Tests are conducted for daily products of manufactures of the desiccated coconut in the Microbiological Laboratory of the Quality Control and Quality Assurance Division. Accordingly all the export oriented Desiccated Coconut products are subjected to testing at the laboratories.

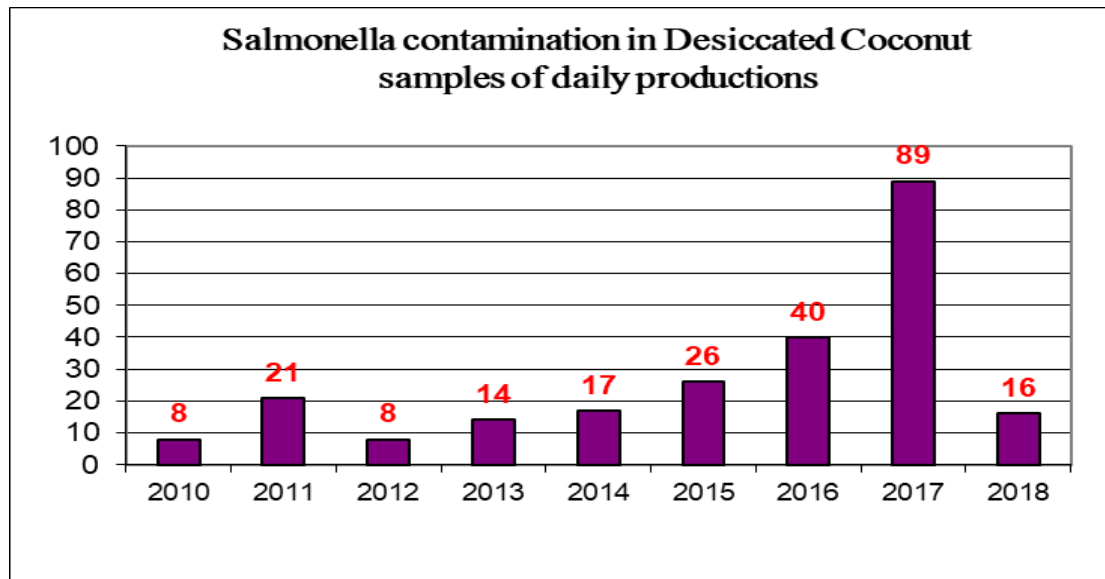
A target of 6500 daily desiccated coconut samples were set in the year 2018. 6060 samples were tested for Salmonella Contamination and 93% progress has been achieved in relation to these tests in the year 2018.

The inclination towards testing desiccated coconut depends on the manufacturing capacity.



Draft 03-Production of desiccated coconut and receiving samples for testing

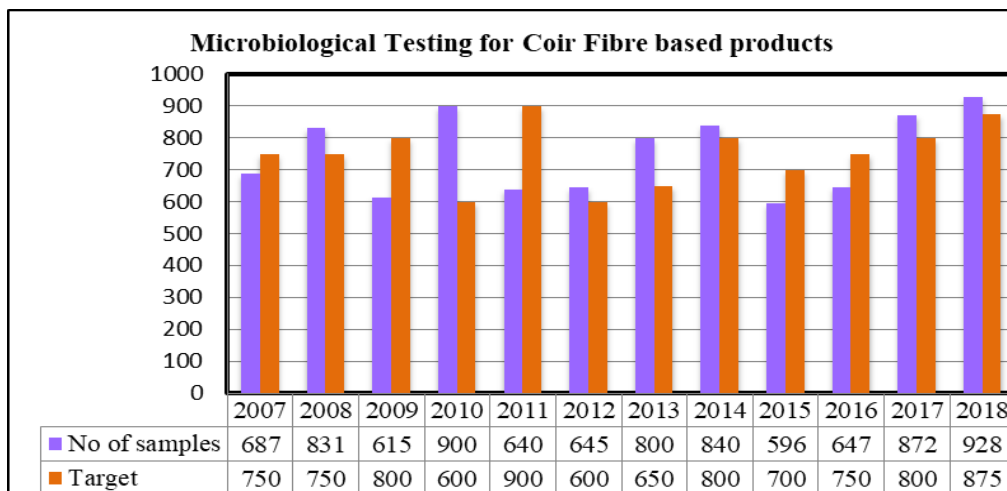
Salmonella contaminations were reported in 89 samples out of the samples obtained from Desiccated Coconut products and tested in the year 2017. Salmonella contaminations were reported as a percentage of 1.26%. 16 samples from among the samples tested in the year 2018 were reported to have been contaminated with Salmonella and the contaminated percentage was 0.26% out of the samples tested.



Year	2010	2011	2012	2013	2014	2015	2016	2017	2018
Percentage contamination (%)	0.12	0.2	0.08	0.14	0.15	0.27	0.4	1.2	0.26

Draft 04 -Salmonella contamination DC

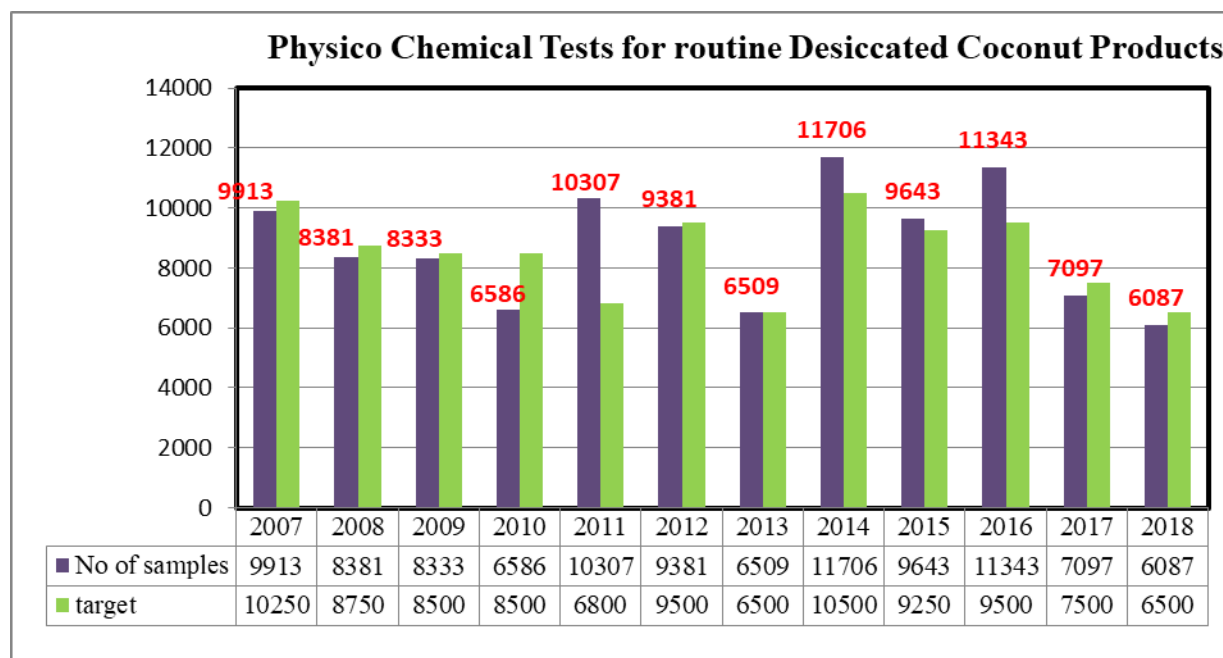
Coir fibre pith products takes the priority over the non-kernel products in the pre-export analysis of micro-organisms in non-kernel products. 872 samples were tested in the year 2017 while 928 samples were tested in the year 2018 as per the parameters requested by clients. 974 tests had been carried out for the 928 samples. Coir fibre pith based products had been undergone higher amount of testing when compared with the annual target set for the year 2018 had been tested and the progress reported was 106%. Salmonella and E.coli tests were performed for these samples. 0.86% out of the samples tested were reported as Salmonella contaminations. Any samples had not exceeded the limits in the standards specified for E-coli.



DRAFT 05 –Micro biological Testing for coir fiber based products

B. Conducting Pre-export Physico-chemical tests and certification of desiccated coconut products.

Tests for colour, grading, Moisture, taste & smell, Extraneous substances, parings and oiliness of desiccated coconuts had been carried out as major tests. Accordingly, 7097 and 6087 samples had been tested in the year 2017 and 2018 respectively. The total number of tests carried out for these 687 samples were 48,696. However, the progress achieved in relation to the target set in the year 2018 was 94%.



Draft 06 –Physico chemical Test for routing DC

664 samples (9.4%) out of 7,097 Desiccated Coconut samples tested during the year 2017 found to have some defects in their physical characters and further, 482 samples (7.9%) out of 6,087 samples tested during the year 2018 found to have such defects. Accordingly, non-conformity with standards specified for physical characters has considerable decrease in the year 2018. Likely, it has been depicted that 55%, the highest percentage out of the samples that are not in conformity with the Sri Lankan standard in this way is a non-conformity with the standards for grading. The quality defected have been mentioned below:

Parameter	Samples not in conformity with parameters	
	Number	%
Grading	264	55
Colour	157	33
Rancidity	10	02
Moisture	41	8.5

Charred pieces	143	30
Roasted smell	139	29
Smoky smell	4	0.83
Extraneous matters	6	1.2
Paring	26	5.4
Oil separation	8	1.6
Oiliness	9	1.8
Roasted taste	6	1.5
Stale smell	1	0.2

Table-21- Samples not in conformity with parameters
Certain samples had not been in conformity with the standards in several parameters)

Q2. Maintenance of testing services for coconut based products

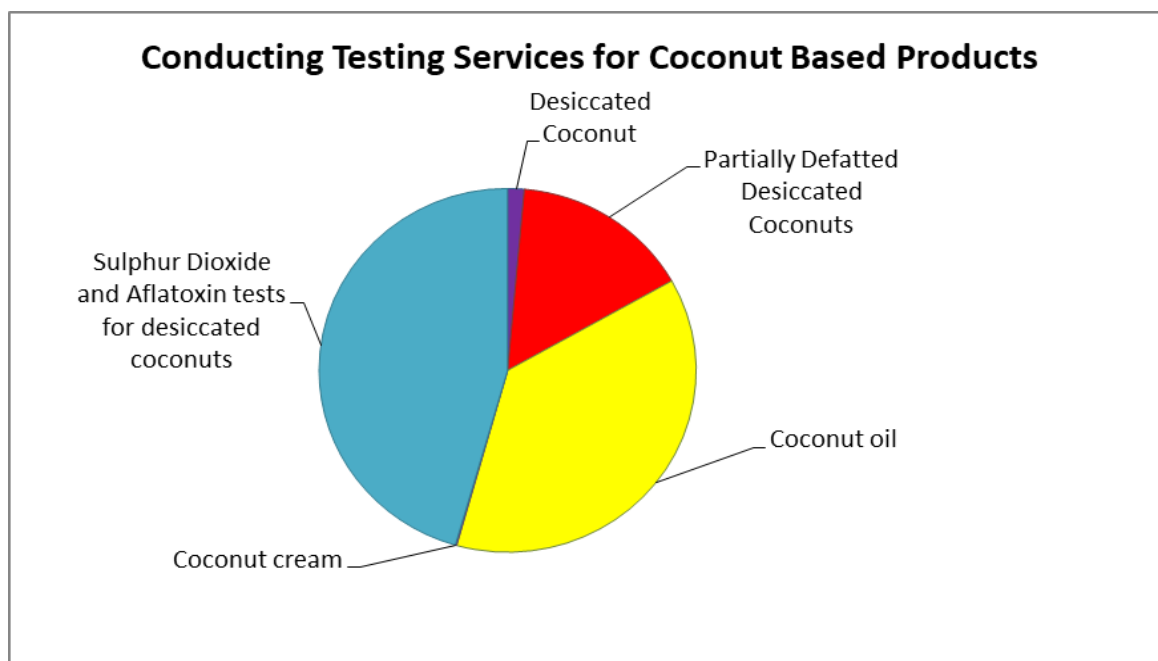
The Quality Control and Quality Assurance Division maintains the service of analyzing different coconut products of local manufacturers. Microbiological, chemical, physical and sensory tests are carried out under this service. The service is rendered at a reasonable price and reports are issued subsequent to conducting tests as per the parameters required by the applicants. The service of testing coconut related products is provided to any category engaged in coconut industry such as coconut based manufacturers, consumers, small-medium and large scale merchants and exporters.

The testing services are conducted in compliance with the Sri Lanka Standards for various coconut products such as desiccated coconut, partially defatted desiccated coconut, copra, coconut fibre, coconut oil, poonac, coconut fibre pith and related products and coconut milk and other products based on coconut milk. The Quality Control Division is equipped with sophisticated laboratory equipment required for this purpose and the Division issues expeditious results.

15% discount is offered for the aforesaid categories registered at the Coconut Development Authority with the intention of encouraging the manufactures to produce standardized coconut based products and to have an understanding about the quality of the products subsequent to testing the products and with the intention of encouraging the exporters to present high quality products consistently to the foreign markets safeguarding the Sri Lankan identity.

Coconut kernel based products are mainly submitted for testing and 868 samples had been tested in the 2017. 926 samples had been analyzed during the year 2018. The relative progress achieved for the targeted 750 samples were 123%. The total number of tests done for these 926 samples were 2310. In the year 2018, 417 samples of Desiccated coconut out of the total coconut kernel based products had been analyzed only for sulphur dioxide tests and

afatoxin compositions. The testing of coconut oil samples has increased considerably when it is compared with the year 2017. All types of samples tested under this is mentioned below:



Draft 07 -Conducting Testing Services for Coconut Based Products

Year	Desiccated Coconut (Samples)	Poonac (samples)	Coconut Oil (samples)	Copra (Samples)	Partially Defatted Desiccated Coconut (samples)	Coconut spread (samples)	Coconut Cream (samples)	Coconut Milk Powder (samples)	Non Coconut (samples)	Sulphur dioxide and afatoxin tests for desiccated coconuts (samples)	Row coconut flaks
2014	122	5	161	4	81	--	11	--	05	710	-
2015	35	10	158	3	105	01	11	01	01	214	-

2016	58	2	191	1	112	--	4	--	--	374	-
2017	42	-	332	-	121	-	07	-	-	366	-
2018	13	-	344	-	141	-	01	--	07	417	02

Q3. A) Functions for obtaining ISO accreditation

Functions in relation to obtaining the ISO 17025 accreditation for achieving the international recognition for tests carried out by the Quality Control and Quality Assurance Division of the Coconut Development Authority and for conducting accurate, formal and systematic tests. The laboratory has been accredited as a testing laboratory under the field of chemical testing and biological testing having being found to be complied with the accreditation criteria for testing laboratories. The laboratory has participated inter, intra and international and local PT programmes in 2018 obtained satisfactions results.

The chemical laboratory of the Quality Control and Quality Assurance Division was able to achieve the accreditation for the ISO 17025 accreditation on the methodologies used in coconut oil testing, awarded by the Sri Lanka Accreditation Board in the year 2012 and the status of accreditation was extended to 2020 November subsequent to being qualified in the accreditation in the field of Chemical testing conducted in the year 2018.



Pic 10-SLAB Certification

The Microbiological Laboratory was able to achieve the ISO 17025 accreditation on the methodologies used for testing of Salmonella, Total Plate Count, Yeast and Mould Count, Coliform Count, E.coli and the status of accreditation was extended from 2020 November.



Pic 11 - SLAB Certification

B. Conducting Training Programmes

Training required for conducting activities for obtaining accreditation on the ISO Quality Assurance Certification which has been initiated by the Quality Controlling Division and for timely revised testing methodologies adopted for the coconut products have been provide to the staff of the laboratory and training programmes have been conducted for the staffs of the other external laboratories by the Quality Control and Quality Assurance Division. Progress has been achieved as per the annual plan.

	Training Programme	No of employees participated	Institution where the training was conducted
1	Internal Auditing of Laboratory Management System -	04	Sri Lanka Accreditation Board
2	Certificate course in quality management	01	Sri Lanka Standards Institute
3	General workshop on waste disposal in testing and medical laboratory	03	SLATL - (Sri Lanka Association of Testing laboratory)
4	Seminar on water quality treatment and testing -	02	ICEM
5	Training on transition of laboratory quality management system to ISO/IEC 17025 : 2017	04	Sri Lanka Accreditation Board
6	Role of accredited inspection bodies in strengthening national regulatory frame work	01	Sri Lanka Accreditation Board (free)

7	Training on food analysis - India CFTRI – Central Food Technological Research Institute - 4 participants	04	India –CFTRI Central Food Technological Research Institute Mysore
8	Training on ISO 17020	02	Sri Lanka Accreditation Board

Table 22-Tranning Programmes

Q4. Securing the Quality of the Industries manufacturing Coconut Products for exportation

Conducting microbiological and Physico-chemical tests for uplifting the process of manufacturing Desiccated Coconut, investigation of factories of factories and provision of contribution through the consultation are the functions performed for securing the quality of the industries manufacturing coconut products for exportation.

545 field tests had been carried out for the year 2018. The progress achieved in comparison to the target set for the year 2018 was 121% as the testing activities performed over the requests made by manufactures had been increased.

264 and 259 samples had been undergone microbiological tests in the year 2017 and 2018 respectively for enhancing the quality of the Desiccated Coconut Products. 774 of total tests were carried out for the 259 samples. The progress in comparison to the target set for the year 2018 was 130%. Number of tests have been increased due to increase of desiccated coconut production at the end of the year.

Further, the water used in the manufacturing process of Desiccated Coconut is analyzed for microbiological and chemical parameters in order to check whether the water is in conformity with the proper standards. 172 samples had been microbiologically and chemically analyzed. Progress in comparison to the target set for the year 2018 was 143%. Number of tests have been increased due to increase of desiccated coconut production at the end of the year.

Q5. Uplifting the Coconut Oil Industry

A. Market survey for adulterated coconut oil

Testing and surveying activities had been carried out by the Quality Control and Quality Assurance Division on the hygienic condition of Coconut oil as a food item and the raw materials used in the standardized manufacture of coconut oil as well as marketing of coconut oil without adulteration.

The Quality Control and Quality Assurance Division had contributed in exercising a certain level of control over sales centers which market adulterated coconut oil as pure coconut oil

by adopting legal procedures subsequent to forwarding the analytical results of the adulterated coconut oil to the Ministry of Health and Consumer Affairs Authority.

Collection of samples from coconut oil available in markets located in each district covering the entire country and conducting analysis for investigating whether the coconut oil available at markets had been adulteration were continued also in the year 2018 and such surveying activities had been conducted systematically covering all small, medium and large scale sales centers. 100 samples were tested in the year 2018 and 86% out of such samples tested were reported to be adulterated coconut oil and 80% out of such samples tested in the year 2017 were found to be adulterated coconut oil. According to the results of the samples tested, it had been disclosed that certain coconut oil samples found in sales centers were not in conformity with the standards even though they were non-adulterated coconut oil. Accordingly, it had been reported that 4% of coconut oil samples, which were not in conformity with the standardized free fatty acid levels and 79% of coconut oil samples, which were identified as 100% paring oil which were not in conformity with the standardized iodine value for coconut oil.

B. Uplifting the standards maintained in the coconut oil industry

Quality Controlling programmers were executed in association with the coconut oil mills with a view to standardizing the manufacture of coconut oil. Accordingly, test results had been issued subsequent to collecting the samples of Copra, Coconut Oil and Poonac respectively at the coconut oil mills for investigating whether copra, the raw material utilized in the manufacture of coconut oil is in its proper standard, whether coconut oil manufactured is in the proper standard and whether coconut oil has been extracted efficiently. Accordingly, 50 samples of coconut oil and 22 samples of copra and 24 samples of poonac had been tested in the year 2018. Accordingly, coconut oil mills located in the areas of Negambo, Chilaw and Kurunegala had been investigated and it has been reported that 28% of coconut oil (66% in 2017) 86% of copra (75% in 2017) 79% of poonac (87% in 2017) were not in conformity with the standards. These results had been made available to the manufacturers through the Processing Development Division in order to notify the Manufacturers regarding the non-conformity of coconut related products with the standards.

Other tests

Due to issues exist in the coconut oil industry, 52 tests on 10 special coconut oil samples have been done with the collaboration of Consumer Authority and 40% of samples reported as adulterated.

Virgin coconut oil and coir pith samples have been tested on request of Processing Development Division and reported 93% progress.

Under existing lab facilities at Dunkannawa laboratory, coir fibre samples are being tested and 88 samples checked so far by acquiring a progress of 147%.

Coconut milk, coconut milk powdered and coconut kernel testing had done on request of applicants. 142 samples have been checked and its progress was 94%.

Other external activities

1. Contributing to awareness programmes

Programme	Venue	Date
1. District workshop on quality coconut oil production and usage	Hambantota	30/08/2018
	Galle	31/08/2018
	Puttalam - Lunuwila	10/09/2018
	Gampaha	17/09/2018
	Kurunegala	12/10/2018
2. Workshop on quality virgin coconut oil production	Industrial Development Board, Ratmalana	30/10/2018

Table 23- awareness programmes

2. Training programmes conducted for external institutes by the laboratory

Programme	Institute	Date
Microbiological and physic-chemical tests in desiccated coconut	For Madampe Mills	26/04/2018
Chemical analysis for coconut oil	For Mathugama coconut oil mill	04/05/2018
Microbiological tests in desiccated coconut	For Mathammana desiccated coconut factory	19-18/10/2018

Table 24- awareness programmes

3. Giving opportunity of Industrial Training to undergraduates

Programme	For whom	Date
Industrial Training for undergraduates. (Microbiologically & Chemical Analysis)	For a students of Kelaniya university	January 2018
	A student of Institute of Chemistry	November 2018

Table 25-awareness programmes

Progress and Total Income of Quality Control and Quality Assurance Division

In the year 2018, 14,999 samples were analyzed and total number of tests carried out was 61528. The annual income generated was Rs. 14.95 Mn.

Marketing Development & Research Division as a main service Division of the Coconut Development Authority has executed a series of efficient and fruitful services to exporters of coconut and coconut based products, coconut estate owners, middlemen who got involved in auctions, buyers of coconut/ copra as well as other information and service requiring parties through new systems, plans and programmes in the year of 2018. As a whole, year 2018 has been a year of challenge to the coconut industry due to many reasons. Among the challenges faced are of severe downfall of coconut harvest in 2017 and same was continued up to first few months of year 2018 and tough competition created by price fluctuations of coconut based main industries in the domestic and international markets. Entrepreneurs and exporters who are engaged in various areas of coconut industry had to face great challenges. However, it is a noteworthy achievement in the coconut export sector enabling to further increase the export revenue up to Rs. 95 Billion. In this regard, Marketing Development & Research Division had efficiently carried out a number of splendid services in the year 2018 too in finding buyers for exporters, and providing market information much soughted by various parties engaged in the coconut industry.

Main tasks implemented as per action plan of 2018 are as follows;

- Sponsoring exporters and manufactures at international exhibitions such as IPM exhibition held in Essen, Germany on coir and cultivation media with the aim of increasing export revenue of coconut industry through identifying new international markets and buyers for coconut based products. IPM Horticulture exhibition held in Dubai, Food & Drink Expo exhibition held in Birmingham in the UK on coconut based products, SAITEX exhibition held in Johannesburg in South Africa, Fine Food exhibition held in Melbourne, Australia and SIAL exhibition held in Paris France were other exhibitions for which exporters and manufactures were sponsored for the trade stalls managed by the officials of the Coconut Development Authority.
- Arranging B2B meetings aiming at widening new opportunities for coconut and coconut based products in international markets with the support of Chambers of Commerce and Sri Lanka embassies in foreign countries.
- Supervision and facilitations for coconut industry, registering exporters, traders, coconut estate owners and middlemen
- Issuing permits for export consignments of coconut and king coconut and issuing permits for temporary exports.
- Supervision on export and import of coconut based products
- Settlement of business issues

- Conducting of fresh nut and copra auctions
- Issuing of marketing prices of coconut and coconut based products to media on daily basis.
- Publishing of Sri Lanka Coconut statistics review 2017, and issuing of weekly/monthly publications containing prices of coconut based products, auction prices, export/ import quantities, coconut based items etc.
- Conducting of awareness programmes on coconut based products on international demands for coconut products, guidelines on packing, standardization, and services provided by the Marketing Development & Research Division.
- Educating general public and students on coconut based industries and their importance via eleven (11) domestic educational and trade fairs.
- Taking part in discussions of trade agreements with Ministry of Plantation Industries, Department of Commerce, Ministry of Foreign Affairs and Sri Lanka Export Development Board facilitating with required information.
- Providing foreign market inquiries for coconut based product exporters.
- Conducting demonstrations island wide for educating general public on use of coconut milk and coconut milk powder as an alternative for nuts
- Identifying coconut oil millers in Galle, Matara and Hambantota districts, calculating production cost, conducting surveys identifying current issues.
- Conducting promotional programmes on the benefits of consuming value added coconut kernel based products through electronic media.

Programmes and services implemented in the year 2018 by Marketing Development and Research Division and progress of them are given below;

3.1 Taking part in international trade fairs.

Taking part in foreign trade fairs with the hope of improving export income in coconut industry through winning over new buyers and new markets who are engaged in coconut and coconut based value added product exporting and extending sponsorship for exporters/ producers by the Coconut Development Authority in every year. In addition to using resources, expertise and networking of the Marketing Development & Research Division, identifying new buyers for Sri Lankan coconut products are facilitated through embassies of said countries too. In 2018, it was able to broad base said opportunities by coordinating with Chambers of Commerce of said countries as was done in 2017.

Through these exhibitions, it was possible to gain knowledge on international standards, products to the satisfaction of international community and standards of them and to be knowledgeable on competitive items with wide current and future market exposure, to identify new buyers, to safeguard existing market, getting more foreign orders with participation of exporters/ producers at these exhibitions. It was able to improve export revenue of coconut industry by gaining trust of foreign buyers by getting new orders as a result of participating at international trade exhibitions.

The Coconut Development Authority participated in the following international exhibitions in year **2018**.



Pic 12- International Exhibitions

- i. Six exporters participated at “IPM –2018” trade exhibition held in Essen, Germany on Landscaping targeting plantation sacks, coir flower pots, Mihisalu, brushes, coir pith blocks which are considered as coconut coir based value added products. Orders placed at this forum have been already exported and Coconut Development Authority has been informed by exporters who participated at IPM-2018 that bi-lateral talks are on the way for more orders.
- ii. “Food & Drink Expo” exhibition conducted bi yearly in Birmingham in the UK was held and the Coconut Development Authority participated for the first time. Six export companies took part in this exhibition highlight of it being foods and beverages. Participation at this exhibition resulted in getting considerable number of coconut kernel based import agencies in the UK by Sri Lankan coconut exporters/ manufacturers.

Trade fair named “SAITEX” on Foods and Beverages held in Johannesburg in South Africa was graced by Coconut Development Authority for the first time. Taking part

for the first time in an exhibition in a country belonged to African zone to win over its market is an achievement.



Pic-13- Food & Drink Expo Exhibition

Through this trade exhibition, Coconut Development Authority sponsored five export companies to educate buyers/ consumers on their items promoting Sri Lankan kernel based products.



Pic 14- SIAL” International exhibition in 2018 held in Paris

- iii. CDA took part in bi yearly “SIAL” International exhibition in 2018 held in Paris, France by sponsoring six export oriented factories. Hon. Naveen Dissanayake, Minister of Plantation Industries too joined this occasion and inspected the booth allocated to

Authority. The exporting institutions participated at the exhibiton had informed the CDA of having considerable number of arders.



- iv. The “FINE FOOD” international exhibition annaually held in Australia was staged this year in Melbourne and Coconut Development Authority too represented it for the second time.

Through this exhibition held in Melbourne the five companies sponsored by the CDA could educate buyers/ consumers of Sri Lankan coconut kernel based products. The institutions took part in it had informed that they have got a considerable number of trade inquiries.



Pic 15- FINE FOOD” international exhibition

- v. The IPM - DUBAI, 2018 Trade exhibition on Garden and Landscaping was graced by CDA for the third time along with five export oriented industrialists. Potential discussions are being held on orders between the said Sri Lankan industrialists and

foreign buyers and it is expected that orders for trade inquiries would be recieved in future.



Pic 16- IPM - DUBAI

In reaping maximum from all these exhibitions, the support given by Sri Lankan embassies in foreign countries was noteworthy.

- It was able to conduct 04 B2B discussions in the year 2018 with the aim of identifying new opennigns for products exported to world market with the support of Chambers of commerce and Sri Lanka embassies. The discussions held in between holding “FINE FOOD” international exhibition in Melbourne had been the topmost among them. In these disucussions which were organized with the support of Sri Lanka embassy in Australia were graced by a considerable number of foreign buyers. This was appraised by the Coconut Development Authority too.



Pic 17- B2B discussions

3.2 Creating a network of producers and future buyers

www.cda.gov.lk was created as the official web site of the Coconut Development Authority in the year 2018 and providing facilities in it for online registration of exporters in the year 2019 was a new development. It was specially developed to provide an opportunity for registered exporters to enter information on export items by themselves.

3.2.1 Registration of All parties engaged in sale of coconuts and coconut based finished items and Coconut estates

Compared to the year 2017, 2018 experienced a minor slowdown of 1% in registration of coconut based product exporters, 5% in estate registration and 31% of trader registration. The major set back for this development has been the high production cost due to coconut price escalation with shortage of Coconuts experienced in the first months of 2017 & 2018. Due to that, foreign buyers did not turn up in the face of severe competition based on price of main export products (specially dessicated coconut). As a result of this, local dessicated coconut millers who are the main buyers of local coconut traders had to restrict their production volume.

Registration progress - 2017/2018

Registration	2017	2018
Exporters	553	547
Brokers	16	17
Traders	88	62
Coconut estates	257	237

Table 26-Registration progress

3.3 Conducting coconut and Copra auctions

3.3.1 Colombo fresh coconut auction

Coconut auction held for 24 years from year 1994 with the aim of ensuring a fair price to high quality coconut buyers and selling out coconut stock of coconut farmers at a reasonable price was continued in the year 2018 too. Under that, the Marketing Development and Research Division was able to conduct 51 coconut auctions in Colombo during the year 2018.

The Colombo coconut auction has become the decisive factor of deciding overall coconut price of the country in a backdrop of deciding prices through coconut auction without creating unfair environment to both cultivator and buyer.

47,140,389 coconuts had been submitted to auction held in the year 2018.

Year	No. of nuts		General price - (for 1000 nuts)
	No. of submission	No. of sales	
2017	47,212,509	33,319,412	48,621.62
2018	47,140,389	30,884,177	45,550.58

Table 27- Colombo fresh coconut auction

Due to continuing the serious setback of coconut harvest in the year 2017 and due to severe draught experienced in the country in the years of 2016 and 2017 which extended to the first few months of year 2018, increase of coconut production in 2018 compared to year 2017 was 7%. The number of coconuts brought at Colombo Coconut auction in the year 2018 had shown a decline by 0.2% compared to the year 2017. Further, the number of coconuts sold through the auction has dropped by 7% due to maximum bid of middlemen who purchased coconuts via auctions had not tallied with sale price of coconut estate owners.

3.3.2 Regional fresh nut auction

Kuliyapitiya regional coconut auction was held 12 times on monthly basis even in the year 2018 and auction could attract a reasonable price for coconut stocks of small and medium scale coconut cultivators. Its progress is given below.

Year	No. of nuts		General price - (for 1000 nuts)
	No. of submission	No. of sales	
2017	1,604,274	1,208,234	49,166
2018	1,918,719	1,049,674	39,120

Table 28- Regional fresh nut auction

Though a rise of 20% recorded in number of coconut bids placed at Kuliyapitiya regional coconut auction in the year 2018 compared to that of 2017, the number of coconuts sold through auction was decreased by 13%.

3.3.3 Copra auction

In the year 2018 too, 22 coconut auctions were held by the Marketing Development and Research Division and stock of Copra placed at auction in 2018 compared to year 2017 had decreased by 31%.

Year	No. of submissions Kg.	No. of sales Kg.	General prices (For a param Rs. 250 Kg.)	
			Class No. 1	Class No. 2 &3
2017	228,954	225,373	55,953	54,768
2018	157,061	128,708	53,870	50,962

Table 29 - Copra auction

3.3.4 Trading conflicts

For resolving trading issues took place between the dealers and buyers at coconut and Copra auctions. Marketing Development and Research Section had functioned as the mediator in the year 2018 too. This Division had contributed immensely in resolving trading conflicts at times of exporting and re-exporting of coconut and coconut based industries.

3.4 Organizing trading avenues with private sector participation

3.4.1 Local Trade Exhibitions

Marketing Development and Research Division in the year 2018 took part in 11 Trade, Agricultural and Educational exhibitions held throughout the country with the objective of educating general public and school children on coconut based industries, various outputs of it, importance of this sector to national economy and Sri Lankan society, and about the functions of Coconut Development Authority. General Public and students who visited these exhibits were educated on coconut based industries and local /foreign markets available for coconut products.



Pic 18 - Local Exhibitions

Marketing Development and Research Division took part in following domestic exhibitions;

Exhibition Name	Venue	Organized by
Yowunpuraya – Vocational Training Education and Trade exhibition	NLDB premises in Nikaweratiya	National Youth Services Council & Sri Lanka Youth Social Federation
Series of exhibitions held in view o 150 th year completion for Sri Lankan tea industry	Vidya College playground – Matale	Sri Lanka Tea Board
Agro Royal Education & Trade exhibition	Royal college – Colombo	Colombo Royal College Agriculture Association
Profood Propack & Agbis exhibition	Sirimavo Bandaranayaka Memorial Exhibition Centre	Sri Lanka Food Processors Association & Sri Lanka Exhibition and Convention Services Ccentre
AgricoInternational Agriculture Federaton	Taj Samudra hotel premises	International Institute of Knowledge Management
V2025 Enterprise Sri Lanka exhibition	Monaragala	Ministry of Finance & Massmedia
Agriculture Beyond Horizon - Agriculture exhibition	Agriculture sub faculty of Peradeniya university premises – Mahailupallama	Agriculture faculty of Peradeniya University
X-ban 2018 Educational, Science & Technological exhibition	Bandaranayaka college, Gampaha	Bandaranayaka college, Gampaha
Foods 2018- National Food Exhibitio	Colombo Greenpath	Ministry of Agriculture

Table 30-Local Exbhitions

Exhibition Name	Venue	Organized by
Harvest 2018 - Agricultural Innovation exhibition	Bandaranayaka Memorial Internatioal Conference Hall premises	Ministry of Agriculture
Siyane 2018 –Educational and Trading exhibition	Kiridiwela Central College premises	Social Development Foundation –Kiridiwela

Table 31-Local Exbhitions

3.4.2 Conducting exhibitive programmes

With the idea of minimizing coconut waste at consuming, the Marketing Development and Research Division conducted Demonstrations for educating general public on importance of coconut waste and ways of preparing tasty foods by using such products.

They were conducted with participation of private sector organizations such as Nestle Lanka company, Renuka Agri Foods Co., Ceylon Biscuits Company, Manchi D Coco Products etc.

Exhibitive programmes of this nature were also organized by Marketing Development and Research Division in various government and private institute premises with participation of Lak FM, Nestle Lanka.

3.5 Conducting marketing surveys for identifying local and foreign coconut based product usage

Surveys were conducted by Marketing Development and Research Division in the year 2018 for identifying coconut oil millers and traders in Galle, Matara and Hambantota districts with the following objectives;

- Getting correct data and information of coconut oil millers in Galle, Matara and Hambantota districts for estimating domestic coconut oil production.
- Ascertaining issues faced by coconut oil millers and dealers and identifying production cost of coconut oil industry.

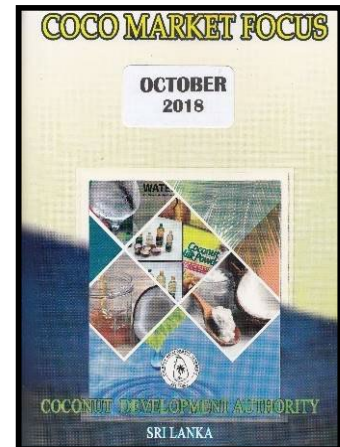
3.6 Dissemination of Information regarding production and marketing of Coconut and coconut based products for Export

A special role played regarding provision of Information Services by the Marketing Development and Research Division in year 2018. The objective is to facilitate decision making processes of industrialists. This enabled coconut and coconut based industrialists to decide on pricing strategies in particular. Activities involved are;

- Collecting production, export/import information and data of the coconut based industries, issuing such data to parties at the correct time.
- Getting prices of coconut and coconut based products on daily basis and publishing them in English and Sinhala media.
- Publishing fifty (50) weekly issues of "Coco Market Focus" issued weekly in year 2018 by embodying coconut and Copra auction prices, farm-gate prices of local coconut based products, whole-sale prices and international prices.

- Publishing monthly magazine of "Coco Market Focus" in the year 2018 (12 issues)

These printed materials carried export quantities of all coconut and coconut based products, prices, countries to which exports are done and import levels and prices of products such as active carbon. This was a great help for taking decisions to parties involved in coconut industry and export ventures.



- Sri Lanka Coconut Statistics-2017 was issued in the year 2018 by Marketing Development and Research Division carrying information of export import prices of all coconut and coconut based products and substitutes, Sri Lankan coconut production, production data/production and export details of countries representing international coconut community, coconut auction and details of exporters and interested people.



- Magazine was issued in the year 2018 which is considered as a full annual publication containing with coconut industry with high local and foreign demand and details of Sri Lankan export sector.
- Collecting, tabulating, and popularizing of data on current and anticipated volumes of coconut and coconut based products
- Marketing Development and Research division provided data to following institutes in year 2018 for taking policy decisions on coconut and coconut based industries in line with trends in local and international markets;
 - Central Bank of Sri Lanka
 - Department of Census and Statistics
 - Sri Lanka Export Development Board
 - Various governmental, semi governmental institute
 - Information and data obtained by joining with international coconut community and foreign magazines such as Cocommunity, Oil World, United Coconut Association of the Philippines (UCAP), Indian Coconut Journal were constantly incorporated in the publications and issued to Sri Lankan coconut community by Marketing Development and Research Division in the year 2018 too.

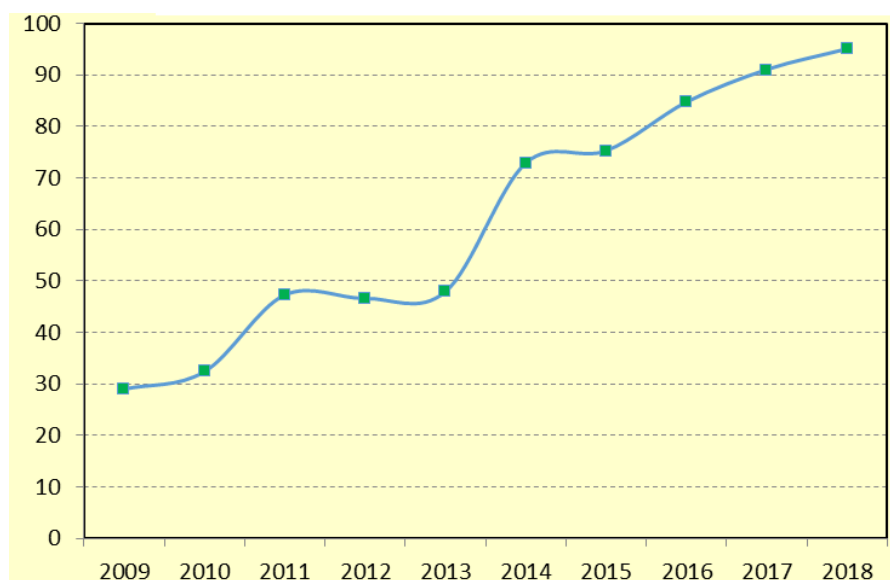
3.7 Export revenue of coconut industry

Export revenue from coconut and coconut based products during past ten year period (2009-2018) is given below.

Year	Value	
	(Rs. Mn.)	(USD Mn.)
2009	29,081	253.00
2010	32,433	286.86
2011	47,306	427.85
2012	46,667	365.72
2013	47,952	371.40
2014	72,880	558.21
2015	75,259	553.63
2016	84,702	581.74
2017	91,198	598.19
2018	94,722	583.81

Table 32-Export revenue of coconut industry

Export Income



Dfaft 06-Export Income

In the year 2018, Sri Lanka was able to record 94.7 Billion rupees of highest export revenue by exporting coconut and coconut based products. It is an increase of 4% compared with year 2017.

An increment of 1% in export revenue of coconut kernel based products was shown in the year 2018 whilst coconut shell based products and raw material type coir has shown an increase of 24% and 0.01% respectively. It is anticipated that export revenue of coconut and coconut based industry to surpass Rs. 105 Mn. in the year 2019.

3.8 Introducing new products, value additions, market promotions & increasing market access

- 3.8.1** 14% increase was seen in king coconut exports due to identifying of new purchasers in the year 2018 compared with past few years. Also, a considerable increase is shown in exporting coconut cream and coconut powder in 2018 compared to year 2017. A progress in coconut water and coconut milk powder also witnessed. It is expected that a higher demand for these products in the year 2019 from foreign markets
- 3.8.2** Data exchanges were carried out formally in the year 2018 too via web site of Coconut Development Authority.
- 3.8.3** Promotional services were carried out in the year 2018 too on print media with the hope of educating general public on the use of value added coconut kernal based products and environment friendly coconut based products.



Pic 19- Promotional services programme

3.9 Marketing Development assisting services

- Providing consultation services on products/ markets & other services , disseminating information on local and international orders to industrialists/ exporters/ buyers.
- Working out forecasts for products related to coconut industry, assisting Ministry of Plantation Industries to formulate trade policies.

Exports of Coconut Products - 2017 /2018 Comparative Statistics

Product	Volume (MT)			Value (Rs. Mn.)		
	2017	2018	Change in %	2017	2018	Change in %
1. Coconut Kernel Products						
1) Coconut Oil	6,310	4,606	-27	3,815.56	3,019.96	-21
2) Virgin Coconut Oil	13,816	12,006	-13	10,590.29	9,528.19	-10
3) Desiccated Coconut	29,418	25,556	-13	13,537.64	11,365.26	-16
4) Copra	501	629		171.45	241.69	41
5) Fresh Nuts ('000 nuts)	10,232	1433	-	831.94	110.74	-
6) King Coconut (Nos.)	5,155,971	5,894,634	14	459.70	528.85	15
7) Coconut Poonac	3,503	3,192	-9	143.34	145.54	2
8) Oil Cake	303	349	15	66.17	81.54	23
9) Coconut Cream	6,446	9,782	52	2,760.28	4,487.06	63
10) Coconut Milk	32,867	33,878	3	8,227.86	9,922.02	21
11) Coconut Milk Powder	6,234	6,989	12	4,723.15	6,017.58	27
12) Defatted Coconut	5,652	5,788	2	1,281.85	1,286.88	0.4
13) Coconut Water	3,945	5,047	28	686.26	723.20	5
14) Coconut based Arrack (Liters)	36,128	36,899	2	21.94	22.84	4
15) Vinegar (Liters)	41,534	62,521	51	10.92	23.18	112
16) Coconut Fatty Acid	101	160	58	15.94	19.50	22
17) Coconut Butter	67	54	-19	42.97	52.57	22
18) Coconut Flour	1,180	1,670	42	227.66	402.05	77
Sub Total – Coconut Kernel Products				47,614.91	47,978.65	1
2. Fibre Products						
19) Mattress Fibre	16,836	31,050	84	898.57	1,561.10	74
20) Bristle Fibre	24,068	2,025	-92	1,221.93	558.64	-54
21) Twisted Fibre	53,933	41,051	-24	2,439.58	2,440.76	0.05
Sub Total – Fibre Products	94,837	74,126	-22	4,560.08	4,560.50	0.01
3. Coconut Shell Products						
22) Coconut Shell Charcoal	9,254	4,437	-52	705.85	376.86	-47
23) Coconut Shell Pieces & Shell Flour	320	767	140	24.98	52.87	112
24) Activated Carbon	39,591	38,566	-3	11,962.12	15,364.94	28
Sub Total – Coconut Shell Products	49,165	43,770	-11	12,692.96	15,794.67	24
4. Finished Products (Fibre)						
25) Coir Yarn	1,729	1,404	-19	170.02	190.93	12
26) Coir Twine	8,480	8,529	1	1,277.00	1,512.45	18
27) Tawashi Brushes (Pcs)	21,835,274	22,170,910	2	555.24	603.08	9
28) Coir Brooms & Brushes (Pcs) – Other than Tawashi	25,602,409	15,811,776	-38	4,101.12	1,689.65	-59
29) Rubberized Coir Pads & Mattress for Bedding (Pcs)	532,037	1,182,744	122	170.27	235.58	38
30) Coir Mats & Rugs (M ²)	281,290	431,158	53	285.70	405.28	42
31) Coir Matting (M ²)	656	5,207	694	1.60	3.87	142
32) Coir Fibre Pith	202,720	155,778	-23	10,776.88	9,558.99	-11
33) Husk Chips	19,080	16,368	-14	1,367.05	1,274.67	-7
34) Coir Geo Textiles	4,544	3,886	-14	723.84	694.30	-4
35) Moulded Coir products use in Horticulture	75,619	106,861	41	6,591.03	9,879.74	50
Sub Total – Fibre Finished Products				26,019.75	26,048.54	0.1
5. Other Products						

36) Coconut Ekels	7,939	7,414	-7	310.37	340.26	10
37) Coconut Wood	0.081	0.009	-89	0.064	0.001	-98
Sub Total – Other Products	7,939	7,414	-7	310.43	340.26	10
Total Value of All Products				91,198.13	94,722.62	4

Source - Sri Lanka Customs

Note – From 2017 mid of June up to end of August 2018, Fresh Coconut exports were temporarily suspended.

Table 33- Exports of Coconut Products - 2017 /2018

Prime purpose of Administration Division is to provide assistance services and facilitations to all sections of institute, all establishment affairs for promotion and running of authority, human resources development and running administrative functions. It helps to run other sections of the Institute and moves for development of whole institute at large.

4.1 Cadre

The approved cadre of this Authority is 259. 198 employees were on cadre in the year 2018 and out of total number of employees 32 are from management level. Cadre consists with following job categories.

1. Senior Management Service category
2. Management Service category
3. Junior Management Service category
4. Related Officer Service category
5. Management Assistant (Technical) Service category
6. Management Assistant (Non technical) Service category
7. Primary skilled Service category
8. Primary semi skilled Service category
9. Primary non skilled Service category

 Recruiting to vacancies exist on approved cadre of the Authority and attending all works related to staff management from recruitment up to retirement.

Social benefit derived from filling vacancies

The thrust of the Coconut Development Authority is to ensure coconut and coconut based product line for home consumption and industry through attending functions rest upon it by Coconut Development Act of 1971. With this, it is led to a high contribution to long term commercial productivity, sustainability and national economy.

Here, this filling vacancies will be helpful to assist regularizing and promotion of coconut based products and production avenues, technical service provision and direction for coconut based industry updating, implementing development programmes, assisting to minimize cost by introducing fitting technology, providing financial assistance, industry expansion and employment creation, improving house based industry/ provision of technical knowhow for self employment generation, checking desiccated coconut product aimed for export purposes and issuing standard certificates, running lab test services, promoting value added coconut based products locally and internationally, minimizing waste in coconut usage, popularizing

environment friendly coconut products among local and foreign consumers and prompting people for their consumption, engaging in marketing development and researches related to boosting of coconut industry and so on.

Staff details – as at 2018.12.31

Designation	Approved cadre	Current cadre status	No. of vacancies	New recruits in year 2018
Director General	1	1		
Director(Q. control & Standard protection)	1	1		
Director(Admin.)	1	1		
Director(Finance)	1	1		
Director(Process Dev.)	1		1	
Director(Marketing Dev. & research)	1	1		
Director Marketing (International)	1		1	
Asst./ Deputy Director (Process Dev.)	4	4		
Internal Auditor	1	1		
Asst. / Deputy Director (Finance)	1	1		
Assistant Director(Q. control & Standard protection)	2	2		
Assistant Director (Marketing Dev. & Research)	2	2		
Assistant Director (Admin)	1	1		
ଓସଞ୍ଜ	1	1		
Engineer (Civil)	1	1		
Legal officer	1		1	
Financial officer	1	1		
Research Officer	1		1	
Marketing Officer	1	1		
Senior supervisor	9	2	7	
Administrative Officer	1	1		
Internal Auditor	1	1		
Information Officer	1	1		
Quality Control Officer	1	1		
Processing Dev. Officer	5	4	1	
Economic Research Officer	1		1	
Secretary to Chairman	1	1		1
Programme Assistant (Marketing Research)	3	2	1	
Programme Assistant (Quality Control)	7	5	2	
Programme Assistant (Internal audit)	2	1	1	
Programme Assistant (Information)	1	1		
Programme Assistant (Processing Dev.)	2		2	

Programme Assistant (Tech services)	25	12	13	
Programme Assistant (Economic Research)	1		1	
Assistant Technician (transport)	1		1	
Assistant Technician (electrical)	1	1		
Book keeper	2	1	1	
Supervisor	30	18	12	
Lab Mechanic	11	7	4	
Secretary to DG	1		1	
Managemen Assistant	58	52	6	
Lab field assistant	2	1	1	
Field Assistant	2	2		
Drivers	20	19	1	
Lab Assistant	13	9	4	
Office Assistant	18	17	1	
Field Assistant	15	14	1	

Table 34 - Carder information

4.2 Human Resources Development Programmes

For reaching human resource at Mission and aims of Authority more productively and positively, action was taken to organize local trainig development courses in year 2018 for improving productivity and efficienty of employees of this Authority. Here, courses were tailored by attaching priority for public instiuttes that conduct training developmnt courses. It was the aim of Administration division to get employees participated at essential trainig courses in the year 2018 that filed to allocate in years gone by.

It was intended to develop personal attitudes and skills, educating new staff members on public service, improving team working, introducing novelties in employment arena and adjusting to institutional background .

Accordingly, referring staff members to training purposes was done by identifying training needs considering money spent for training and development as a future investment.

Local Training Developments

	Course Name	Venue	No. of participants	No. days
01	Green Associate professional training course	Skills Development Foundation	01	04
02	Course on store management	National Institute of Labour Studies	01	01

03	Contended working	National Institute of Plantation Management	40	02
04	Course on Detailed Procurement System	Prag Institute	01	05
05	Preparing Project proposals	Sri Lanka Foundation	03	02
06	Procurement Course	Nipunatha Piyasa	02	02
07	Personal files	National Institute of Labour Studies	02	01
08	Counting EPF & ETF	Nipunatha Piyasa	01	01
09	Advanced Excel	Nipunatha Piyasa	01	03
10	Workshop on Establishment Code	Nipunatha Piyasa	02	02
11	Work shop for Driver Training	Construction Industry Developmen Authority	08	01
12	Management & Financial regulations	National Institute of Labour Studies	01	02
13	Telephone one day workshop		01	01
14	Preparing public officers' salaries	National Institute of Labour Studies	03	01
15	S-CPI-Work shop on EB Awareness Programme	SLIDA	11	01
16	National Audit Act workshop	Prag Institute	02	01
17	IT Procument Management	Distance Lerninig center	06	02
18	Certificate course in quality Management	SLSI	01	From 18.01.20 to 18.04.07 weekends
19	Tranning on ISO/IEC 17025:2005 Internal Auditing of Laboratory Management system	SLAB	04	02
20	Participation fee general workshop on waste Disposal in testing and medical laboratories	SLATL	03	01
21	General Tranning on training on transition of Laboratory quality	SLAB	04	02

	management system to ISO /IEC 17025:2017			
22	Training programme on good laboratory practices	(SGS) Lanka (Pvt.) Ltd.	01	01
23	Assessor Training course on ISO/IEC:17025:2017	SLAB	01	02
24	Taking of correctives action and follow up action in conformity	SLSI	02	01
25	SPC, sampling techniques and inspection for management system	SLSI	01	02
26	Audit on procurement programme	PRAG Institute	04	01
27	Basic Survey programme	National Labor Education Institute	01	03
28	New Tax law programme	PRAG Institute	04	01
29	National Audit Act programme	PRAG Institute	04	01
30	2018 Financial statement fina) workshop	PRAG Institute	02	01
31	Export procedures and documentation	The National chamber of commerce of Sri Lanka)	01	01

Table 35 - Human Resource Development Programmes

Other functions of Administration Division

- ✚ Running asset registers on fixed assets of institute, attending all on annual board of surveys.
- ✚ In addition to all local purchases, importing laborartoy equipments and chemicals needed for Quality Control Unit such as Equipment Unit, Media Processig Unit related to basic lab and micro investigaton section, chemical investigation section establishd in Quality Control and Quality Assurance Section.
- ✚ Deciding on quality standard of coconut products exported from Sri Lanka on broad basing of Quality Control Unit, calling quotations at importing chemicals and lab equipments, preparing Technical Committee Procurement document, Obtaining approval thereto, preparing ordering document, getting bank drafts and import license and meddling with goods clearance.

- ✚ Pursuing legal measures at times of not obeying institutional administrative regulations by employees, all procedures related to discipline of institute and Labour Tribunals.
- ✚ Conducting programmes on special situations (eg. Environmental day)



Pic 20 –Enviromental Day Programme

The function of Finance section of the Coconut Development Authority is to provide financial needs of various sections. Accordingly, this Section is responsible for providing financial facilities for approved programmes and projects going by budget and work plans. This Section also bears responsibility for preparing financial reports and progress reports from time to time including running financial reports. It is the Finance Section which is in charge of investment management of Authority including its funds.

Controlling total income of Rs. 454.084Mn. including Rs. 121.5Mn. Received as government donation in the year 2017 and total assets valued Rs. 1243 Mn. and keeping records in that regard is the responsibility of Finance Section. Providing financial assistance required to realize performance of all sections of the institute is held by Finance Section itself.

5.1 General Operations

- A recurrent expenditure of Rs. 202.387 Mn. for general operations and capital expenditure to the tune of Rs. 100.371Mn. had been incurred.
- Preparation of various financial reports for management requirements and monthly, tri monthly, six monthly and annual reports are also prepared.

5.2 Capital Development programmers

Cess tax income which is considered as a direct income of Coconut Development Authority was declared as a government income with effect from 01.01.2007 by Treasury circular No. FP/06/77/07/04 dated 24.04.2007.

Finance Section of Authority could accomplish following even during the year 2018.

- Fund management and supplying financial reports on development projects/ programs
- Monthly crediting money on exported desiccated products against Secured single accounts run by names of Desiccated coconut millers of Mill Development Fund
- Through Coconut oil Price Stability Fund, assisting to implement “Kapruka Jaya Isura” loan scheme with Regional Development Bank and “Kapruka Nipeyum Diriya” loan scheme with People’s Bank to provide finance to entrepreneurs in coconut industry.
- Proper managing EPF funds of Coconut Development Authority, Loan payment to members of EPF and releasing membership fee to ceiling of 75% on request of employees aged over .55

- Investing well managed funds in Treasury bills and bonds, running funds in Mill Development Fund in single savings accounts in name of each miller at NSB

Annual estimates, Annual Final Account Statements, Monthly Financial Progress Reports and other statistical data is prepared by Finance Section and submit them to Director Board, Ministry, Treasury, Government Audit Department and other institutes concerned in due periods.

COCONUT DEVELOPMENT AUTHORITY

Statement of Consolidated Financial Position (Summarised) as at 31.12.2018

	2018.12.31	2017.12.31
	Rs.	Rs.
ASSETS		
<i>Fixed Assets</i>	543,733,516	558,629,722
<i>Total Non Current Assets</i>	176,642,018	145,881,537
<i>Current Assets</i>		
Inventories / Stock	27,120,978	22,193,833
Trade and Other receivable	686,327,113	684,472,461
Prepayments	8,347,440	11,646,421
Inspection & Processing Charges Receivable		697,982
Cash and Cash equivalents	19,582,460	16,395,817
Inter Current Account	51,355,964	39,153,337
Total Current Assets	792,733,955	774,559,852
Total Assets	1,513,109,489	1,479,071,111
<i>Non-Current Liabilities</i>		
Provision for Gratuity	(38,393,469)	(37,588,871)
<i>Current Liabilities</i>		
Payables	(69,651,999)	(89,994,740)
Accrued Expenses	(11,806,398)	(7,930,889)
	(81,458,397)	(97,925,629)
	1,393,257,624	1,343,556,611
<i>Equity and Liabilities</i>		
Capital Reserves	463,297,656	474,370,321
Government Grant	91,319,906	106,815,783
Grant from Capital Development Fund	77,652,767	77,652,767
Accumulated Fund	760,987,295	684,717,740
Total Equity and Liabilities	1,393,257,624	1,343,556,611

The accounting policies are on page 11,13 and Notes on pages 14 to 23, form an integral part of these Financial Statements. The Board of Directors is responsible for the preparation and presentation of these Financial Statements. These Financial Statements were approved by the Board of Directors and signed on their behalf.

.....
M.P. Sandya Kanthi
DIRECTOR (FINANCE)

.....
H.K. Udaya Rupasinghe
CHAIRMAN

.....
A.H.L.D. Gamini Wijesinghe
Director General

COCONUT DEVELOPMENT AUTHORITY
Statement of Consolidated Financial Position as at 31.12.2018

	<i>Note</i>	2018.12.31 RS.	2017.12.31 RS.
FIXED ASSETS			
Fixed Assets	1	698,905,975	674,609,800
LESS : Accumulated Depreciation		(155,172,459)	(115,980,078)
		543,733,516	558,629,722
NON CURRENT ASSETS			
Working progress		23,058,004	36,114,760
Boundry Wall & Dranage Line system		2,441,319.40	
Sewerline System		3,497,907	4,000,000
Staff Debtors	5	20,004,062	17,853,225
Loans granted to BCC & Hiriyala Govijana Samagama	6	59,140,037	59,715,037
Interest Receivable from BCC		44,127,699	40,116,090
Provision for Doubtful Debtors		(44,127,699)	(40,116,090)
Loan Granted to Kapruka Nipayum Diriya	7	68,500,689	28,198,515
		176,642,018	145,881,537
CURRENT ASSETS			
<i>Inventories / Stocks</i>			
Stocks	2	27,120,978	22,193,833
		27,120,978	22,193,833
<i>Trade & Other Receivables</i>			
Welfare Loan Fund	3	2,030,929	2,007,438
Sundry Debtors	4	28,636,902	30,756,374
Staff Debtors	5	4,788,234	4,508,207
Loans granted to Hiriyala	6	300,000	
Sundry Advance	8	151,540	655,850
Advance given to Kapruka loan scheme		4,070,000	4,070,000
Sundry Deposits	9	841,899	402,246
Bank Deposits	10	543,162,536	545,835,273
Treasury Bills	10	102,345,073	96,935,055
		686,327,113	685,170,443
<i>Prepayments</i>	11	8,347,440	11,646,421
<i>Cash & Cash Equivalent</i>			
Cash at Bank	12	19,513,757	16,376,730
Petty Cash	12	25,266	-
Stamp Franking Machine		43,437	19,087
		19,582,460	16,395,817
Inter Current Account (Capital Dev Fund)		51,355,964	39,153,337
Total Current Assets		792,733,955	774,559,852
		1,513,109,489	1,479,071,111
NON CURRENT LIABILITIES			
Provision for Gratuity		(38,393,469)	(37,588,871)
CURRENT LIABILITIES			
<i>Payables</i>			
Sundry Creditors	13	(12,896,387)	(38,983,551)
Refundable Deposits	14	(386,698)	(1,514,137)
Receipts in Advance	15	(942,950)	(1,601,059)
Advance given to Kapruka loan fund		(4,070,000)	(8,742,656)
Accrued Expenses	16	(11,806,398)	(7,930,889)
Inter Current Account Balance		(51,355,964)	(39,153,337)
Total Current Liabilities		(81,458,397)	(97,925,629)
		1,393,257,624	1,343,556,611
FINANCED BY			
Capital Reserves		-	6,970,409
Foreign Aid		-	4,102,257
Revaluation Reserve for Land		268,897,540	268,897,540
Revaluation Reserve for Building		129,425,116	129,425,116
Revaluation Reserve for Motor Vehicles		64,975,000	64,975,000
		463,297,656	474,370,321
Grants & Contributions		88,943,221	77,870,555
Government Grants Capital	17	2,376,685	28,945,229
		91,319,906	106,815,783
Grant from Capital Deve. Fund	18	77,652,767	77,652,767
Accumulated Fund	19	504,124,154	460,521,586
Accumulated Surplus	19	256,863,141	224,196,154
		1,393,257,624	1,343,556,611

The accounting policies are on page 11,13 and Notes on pages 14 to 23 form an integral part of these Financial Statements. The Board of Directors is responsible for the preparation and presentation of these Financial Statements. These Financial Statements were approved by the Board of Directors and signed on their behalf.

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M.P. Sandya Kanthi
DIRECTOR (FINANCE)

.....
H.K. Udaya Rupasinghe
CHAIRMAN

.....
A.H.L.D. Gamini Wijesinghe
Director General

COCONUT DEVELOPMENT AUTHORITY

Statement of Financial Position as at 31.12.2018 (Analysed by Funds)							
	Note No.	GENERAL BOARD OPERATIONS RS.	CAPITAL DEV. FUND RS.	P.S.S. OIL FUND RS.	MILL DEV. FUND RS.	NRI FUND RS.	TOTAL RS.
FIXED ASSETS							
Fixed Assets	1	636,234,787.27	62,650,000.00	21,187.50	-	-	698,905,974.77
LESS : Accumulated Depreciation		(154,518,781.43)	(632,500.00)	(21,177.50)	-	-	(155,172,458.93)
		481,716,005.84	62,017,500.00	10.00	-	-	543,733,515.84
NON CURRENT ASSETS							
Working progress		-	23,058,004.02	-	-	-	23,058,004.02
Sewerline System		3,497,907.25	-	-	-	-	3,497,907.25
Boundry Wall & Drainage Line system		2,441,319.40	-	-	-	-	2,441,319.40
Staff Debtors		20,004,061.66	-	-	-	-	20,004,061.66
Loans granted to BCC/ Hiriyala	6	-	32,425,000.00	26,715,037.40	-	-	59,140,037.40
Loan Interest Receivable from BCC		-	-	44,127,698.67	-	-	44,127,698.67
Provision for Doubtful Debtors(Loan Interest)		-	-	(44,127,698.67)	-	-	(44,127,698.67)
Loan Granted to Kapruka Nipayum Diriya/Jaya Isura		-	-	7,745,386.01	60,755,302.71	-	68,500,688.72
Loan Fund	7	-	-	34,460,423.41	60,755,302.71	-	176,642,018.45
CURRENT ASSETS							
Inventories / Stocks		25,943,288.31	55,483,004.02				
Stocks	2	27,120,977.90	-	-	-	-	27,120,977.90
Trade & Other Receivables							
Welfare Loan Fund	3	2,030,929.26	-	-	-	-	2,030,929.26
Sundry Debtors	4	18,230,156.53	1,787,238.62	6,057,197.80	2,560,372.94	1,936.33	28,636,902.22
Staff Debtors	5	4,788,234.08	-	-	-	-	4,788,234.08
Loans granted to Hiriyala	6		300,000.00				300,000.00
Sundry Advance	8	-	151,540.00	-	-	-	151,540.00
Advance given to Kapruka Loan Scheme		-	4,070,000.00	-	-	-	4,070,000.00
Sundry Deposits	9	619,899.28	222,000.00	-	-	-	841,899.28
Treasury Bills	10	2,348,856.40	-	99,855,491.76	-	140,724.35	102,345,072.51
Bank Deposits	10	274,289,317.64	39,833,627.84	189,919,457.94	39,120,132.38	-	543,162,535.80
		302,307,393.19	46,364,406.46	295,832,147.50	41,680,505.32	142,660.68	686,327,113.15
Prepayments	11	4,874,535.37	3,472,904.32	-	-	-	8,347,439.69
Cash & Cash Equivalent							
Petty Cash		25,266.00	-	-	-	-	25,266.00
Cash at Bank	12	11,264,503.87	8,249,253.17	-	-	-	19,513,757.04
Stamp Franking Machine		43,437.00	-	-	-	-	43,437.00
		11,333,206.87	8,249,253.17	-	-	-	19,582,460.04
Inter Current Account (PSS Oil Fund)/(GBO)		(1,277,282.49)	-	48,949,938.53	3,683,308.03	-	51,355,964.07
Inter Current Account (Capital Dev Fund)/(GBO)		33,759,008.74	(33,759,008.74)				-
Total Current Assets		378,117,839.58	58,086,563.95	344,782,086.03	45,363,813.35	142,660.68	792,733,954.85
		885,777,133.73	141,828,059.23	379,242,519.44	106,119,116.06	142,660.68	1,513,109,489.14

	Note No.	GENERAL BOARD OPERATIONS RS.	CAPITAL DEV. FUND RS.	P.S.S. OIL FUND RS.	MILL DEV. FUND RS.	NRI FUND RS.	TOTAL RS.
NON CURRENT LIABILITIES							
Provision for Gratuity Payment		(38,393,468.50)	-	-	-	-	(38,393,468.50)
CURRENT LIABILITIES							
Payables							
Sundry Creditors	13	(2,649,077.07)	(10,247,309.61)	-	-	-	(12,896,386.68)
Refundable Deposits	14	(386,697.93)	-	-	-	-	(386,697.93)
Receipts in Advance	15	(942,950.00)	-	-	-	-	(942,950.00)
Advance given to Kapruka Loan fund (PSS Oil Fund)		-	-	(4,070,000.00)	-	-	(4,070,000.00)
Accrued Expenses	16	(6,713,180.32)	(5,093,217.77)	-	-	-	(11,806,398.09)
Inter Current Account		-	(3,683,308.03)	-	(47,672,656.04)	-	(51,355,964.07)
Total Current liabilities		(10,691,905.32)	(19,023,835.41)	(4,070,000.00)	(47,672,656.04)	-	(81,458,396.77)
		836,691,759.91	122,804,223.82	375,172,519.44	58,446,460.02	142,660.68	1,393,257,623.87
FINANCED BY							
Capital Reserves		-	-	-	-	-	-
Foreign Aid		-	-	-	-	-	-
Revaluation Reserve for Land		216,455,830.00	52,441,709.75	-	-	-	268,897,539.75
Revaluation Reserve for Building		129,425,115.75	-	-	-	-	129,425,115.75
Revaluation Reserve for Motor Vehicles		64,975,000.00	-	-	-	-	64,975,000.00
Grants & Contributions		88,943,221.00	-	-	-	-	88,943,221.00
Government Grants Capital	17	2,376,684.60	-	-	-	-	2,376,684.60
Grant from Capital Deve. Fund	18	77,652,767.37	-	-	-	-	77,652,767.37
Accumulated Fund	19	-	70,362,514.07	375,172,519.44	58,446,460.02	142,660.68	504,124,154.21
Accumulated Surplus	19	256,863,141.19	-	-	-	-	256,863,141.19
		836,691,759.91	122,804,223.82	375,172,519.44	58,446,460.02	142,660.68	1,393,257,623.87

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M.P. Sandya Kanthi
DIRECTOR (FINANCE)

.....
H.K. Udaya Rupasinghe
CHAIRMAN

.....
A.H.L.D. Gamini Wijesinghe
Director General

Coconut Development Authority
Statement of Consolidated Financial Performance (Summarised) for the Year Ended
31.12.2018

Revenue	FOR THE YEAR ENDED	
	2018	2017
	Rs.	Rs.
Government Grant - Recurrent	145,000,000	121,500,000
Government Grant - Capital	105,541,544	56,436,494
Other Income	150,039,263	276,147,890
	400,580,807	454,084,384
		-
Less : Expenditure		-
		-
Personal Emoluments	(130,446,689)	(131,005,877)
Travelling Expenses	(4,529,803)	(5,548,218)
Supplies & Requisites	(27,791,090)	(21,600,649)
Repairs & Maintenance	(9,176,104)	(7,428,470)
Taxes and Other	(5,189,383)	(6,236,751)
Contractual Service & Other	(36,184,972)	(30,567,440)
Research and Development/Training	(101,583,850)	(100,371,049)
	(314,901,890)	(302,758,453)
Surplus /(Deficit)	85,678,917	151,325,930
		-
Depreciation	(39,273,250)	(36,470,593)
Amortization to Grant	38,957,000	36,154,343
Write off Sewerline project cost/Brundry Wall Rebuilt Cost	(2,437,692)	(2,000,000)
Gratuity	(4,625,318)	(4,584,509)
Under provision for Bad Debtors	(4,011,609)	(4,011,609)
	74,288,048	140,413,563

.....
M.P. Sandya Kanthi
DIRECTOR (FINANCE)

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H.K. Udaya Rupasinghe
CHAIRMAN

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A.H.L.D. Gamini Wijesinghe
Director General

COCONUT DEVELOPMENT AUTHORITY
Statement of Financial Performance for the year ended 31.12.2018

	Not e No	GENERAL BOARD OPERATIONS RS.	CAPITAL DEV. FUND RS.	P.S.S. OIL FUND RS.	NRI Fund RS.	MDF FUND RS.	TOTAL RS.
INCOME							
Government Grant (Recurrent)		145,000,000.00	-	-	-	-	145,000,000.00
Government Grant (Capital)		-	105,541,544	-	-	-	105,541,544.41
							-
OTHER INCOME							-
Interest Income	1	29,506,162.68	3,887,164.47	27,039,982.24	10,983.61	1,328,188.69	61,772,481.69
Rental Income	2	877,830.65	31,285.02	-	-	-	909,115.67
Registration Fees	3	16,345,392.81	-	-	-	-	16,345,392.81
Auction Activities	4	747,411.86	-	-	-	-	747,411.86
Laboratory Income	5	15,464,576.42	-	-	-	-	15,464,576.42
Grant from Capital Dev.Fund (DC Sampling & Testing Charges)	5	11,000,000.00	-	-	-	-	11,000,000.00
Miscellaneous Income	6	5,410,622.38	5,219,866.85	-	-	-	10,630,489.23
DunkannawaCoconut Estate & Modern Mill	7	(488,513.29)	-	-	-	-	(488,513.29)
Inspection & Processing Charges - Fresh Coconut		11,858,955.04	-	-	-	-	11,858,955.04
Inspection & Processing Charges-King Coconut		15,600,232.00	-	-	-	-	15,600,232.00
Charges on Return Export		2,072,803.12	-	-	-	-	2,072,803.12
Interest on B.C.C. Loan		-	-	4,011,608.97	-	-	4,011,608.97
Sale of Scrap items		114,709.00	-	-	-	-	114,709.00
Total other Income		108,510,182.67	9,138,316.34	31,051,591.21	10,983.61	1,328,188.69	150,039,262.52
Total Income		253,510,182.67	114,679,860.75	31,051,591.21	10,983.61	1,328,188.69	400,580,806.93
Total Net income		253,510,182.67	114,679,860.75	31,051,591.21	10,983.61	1,328,188.69	400,580,806.93

	Not e No	GENERAL BOARD OPERATIONS RS.	CAPITAL DEV. FUND RS.	P.S.S. OIL FUND RS.	NRI Fund RS.	MDF FUND RS.	RS.
EXPENDITURE							
Personal Emoluments		(130,446,689.48)	-	-	-	-	(130,446,689.48)
Travelling Expenses		(4,529,803.26)	-	-	-	-	(4,529,803.26)
Supplies & Requisites		(27,791,089.78)	-	-	-	-	(27,791,089.78)
Repairs & Maintenance		(9,176,103.65)	-	-	-	-	(9,176,103.65)
Contractual Service & Other		(36,175,971.78)	-	-	-	-	(36,175,971.78)
Taxes and Other		(5,189,382.70)	-	-	-	-	(5,189,382.70)
Dunakannawa Building Revaluation Deficit		-	-	-	-	-	-
Financial charges		-	(9,000.00)	-	-	-	(9,000.00)
Processing Dev. - Capital Development Programme	8	-	(41,879,593.32)	-	-	-	(41,879,593.32)
Marketing Development - Capital Development Programme	9	-	(44,624,671.77)	-	-	-	(44,624,671.77)
Quality Control & Quality Assurance- Capital Dev. Programme	10	-	(4,079,584.63)	-	-	-	(4,079,584.63)
Transfer to fixed Assets purchased		-	-	-	-	-	-
DC Testing & Sampling charges		-	(11,000,000.00)	-	-	-	(11,000,000.00)
GBO Grants- Training Expenses		-	-	-	-	-	-
		(213,309,040.65)	(101,592,849.73)	-	-	-	(314,901,890.37)
Operating Profit		40,201,142.02	13,087,011.02	31,051,591.21	10,983.61	1,328,188.69	85,678,916.56
Depreciation		(38,956,999.51)	(316,250.00)	-	-	-	(39,273,249.51)
Write off Sewerline Project cost		(2,000,000.00)	-	-	-	-	(2,000,000.00)
Write off boundry wall construction cost and drainage line renovation cost		(437,691.84)	-	-	-	-	(437,691.84)
Amortization of Grant		38,956,999.51	-	-	-	-	38,956,999.51
Under Provision - Gratuity		(4,625,317.59)	-	-	-	-	(4,625,317.59)
Provision for doubtful Interest on loan granted to B.C.C. Lanka Ltd.		-	-	(4,011,608.97)	-	-	(4,011,608.97)
		33,138,132.59	12,770,761.02	27,039,982.24	10,983.61	1,328,188.69	74,288,048.16

M.P. Sandya Kanthi
DIRECTOR (FINANCE)

H.K. Udaya Rupasinghe
CHAIRMAN

A.H.L.D. Gamini Wijesinghe
Director General

Year ended 31st December 2018

2017		2018	
	Cash Flows from Operating Activities		
140,413,563	Surplus/(Deficit) from ordinary activities		74,288,048
	Non - Cash movements		
36,470,593	Provision for Depreciation	39,273,250	
1,078,506	Damage due to Fire	-	
2,000,000	Write off Sewerline project cost/Broundry Wall Cost	2,437,692	
(36,154,343)	Amortization	(38,957,000)	
1,139,338	Prior Year Adjustment	(2,527,744)	
(62,063,274)	Interest on Investment	(61,772,482)	
(42,215,964)	Increased Kapruka Loan Fund	(40,302,174)	
4,584,509	Provision for Gratuity	4,625,318	
8,673,540	Dunkannawa Building Revaluation Deficits	-	
(10,346,203)	Gratuity Payment	(3,820,720)	
(40,396)	Profit on sale of Fixed Assets	(114,709)	(101,158,569)
(96,873,694)	Operating Profit / Loss before Working Capital Changes		(26,870,521)
	Working Capital Changes		
(10,810,052)	Increase in Stocks	(4,927,144)	
(1,683,488)	Increase in Lady Loachor Loan/Welfare Loan fund	(23,491)	
(4,600,768)	Decrease in Sundry Debtors	1,427,990	
(422,584)	Increase in Staff Debtors	(2,430,864)	
(273,484)	Decrease in Advances	504,310	
6,439	Increase in Sundry Deposits	(439,654)	
(5,166,786)	Decrease in Prepayment	3,298,982	
(46,616,845)	Decrease in Bank Deposits	2,672,737	
(1,187,882)	Increase in Treasury Bills	(5,410,017)	
23,412,257	Decrease Sundry Creditors	(26,087,164)	
47,780	Decrease Refundable Deposit	(1,127,439)	
1,233,859	Decrease Receipts in Advance	(658,109)	
(1,299,329)	Decrease on Inspection & Processing charges payable		
9,320,078	Decrease in Kapruka Loan scheme	(4,672,656)	
3,466,671	Increase in Accrued Expenses	3,875,509	
(34,574,136)	Net cash flows from operating activities		(33,997,010)
	CASH FLOW FROM INVESTING ACTIVITIES		
59,212,558	Interest on Investment	62,463,963	
(25,563,506)	Purchase of Fixed Assets	(29,665,374)	
(36,114,760)	Decrease in working progress	13,056,756	
40,396	Sale of Fixed Assets	1,026,122	
-	Decrease Loan Granted to Hiriyala	275,000	
(2,425,312)	NET CASH FLOW FROM INVESTING ACTIVITIES		47,156,467
	CASH FLOWS FROM FINANCING ACTIVITIES		
-	Capital Reserves	-	
25,563,506	Treasury Grants for Capital	12,388,456	
(44,269,412)	Mill Development Fund	4,509,250	
(18,705,906)	Net Cash Flows from Financing Activities		16,897,706
-	Net increase/(decrease) in cash and cash equivalents		3,186,643
28,561,302	Cash and cash equivalents at beginning of period		16,395,817
16,395,817	Cash and cash equivalents at end of period		19,582,460
	Cash and cash equivalents as at		
		01.01.2018	31.12.2018
	Cash at Bank	16,376,730	19,513,757
	Stamp Franking Machine	19,087	43,437
	Petty cash		25,266
		16,395,817	19,582,460
		16,395,817	19,582,460

COCONUT DEVELOPMENT AUTHORITY
STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31st DECEMBER 2018

	Grant & Contribution Rs.	Government Grant Capital	Grant from Capital Dev. Fund Rs.	Capital Reserves Rs.	Foreign Aids Rs.	Revaluation Surplus Rs.	Accumulated Fund Rs.	Accumulated F Surplus/Deficit Rs.	Total Rs.
Balance as at 01/01/2018	77,870,555	28,945,227	77,652,767	6,970,409	4,102,258	463,297,656	460,521,586	224,196,155	1,343,556,611
Funds received from Treasury	-	12,388,456	-	-	-	-	-	-	12,388,456
Prior year Adjustment (Disposal of Fixed Asset)	-	-	-	-	-	-	-	(471,146)	(471,146)
Amortization of Grant for Year 2018	-	(38,957,000)	-	-	-	-	-	-	(38,957,000)
Income & Expenditure Transfer from capital reserves & foreign aids	11,072,667	-	-	-	-	-	43,602,568	33,138,133	76,740,701
Total	88,943,222	2,376,683	77,652,767	-	-	463,297,656	504,124,154	256,863,141	1,393,257,624

ACCOUNTING POLICIES

ACCOUNTING CONVENTION

The Financial Statements were prepared on the basis of Historical cost convention, in accordance with Sri Lanka Public Sector Accounting Standards. No adjustments have been made for inflationary factors affecting these Financial Statements.

GENERAL ACCOUNTING POLICIES

The accounts have been prepared in accordance with Sri Lanka Public Sector Accounting Standards.

The accounting policies and methods of computation are consistent with those followed during the previous financial year, except certain changes which are supported with separate notes. No events happened subsequent to the Balance Sheet date that required to be disclosed

VALUATION OF ASSETS

Property, Plant and Equipment are stated on the Balance Sheet at cost or revalued amount less accumulated depreciation. Depreciation is provided on the straight line method at the following rates per annum.

Building & Structures	2 1/2 %
Vehicles	20 %
Furniture & Equipment	10 %
Book Periodicals	10 %
Computers	20 %
Machinery	20 %

Full year depreciation is charged in the year of purchase and no depreciation is made in the year of disposal.

Revaluation of Assets Land & Building at Duke Street

Valuation Department has revalued Land & Building and Motor Vehicles as follows.

Date of Revaluation	Type of Assets	Revalued Amount
2017.02.08	Land- Dunkannawa	50,000,000.00
2017.02.08	Building- Dunkannwa	12,650,000.00
2017.09.08	Land - Duke Street	218,500,000.00
2017.09.08	Building - Duke	84,000,000.00

Date of Revaluation 2017.02.15			
	<u>Vehicle Number</u>	<u>VehicleType</u>	<u>Amount (Rs)</u>
1	GB-5117	Toyota Cab	3,500,000.00
2	GB-5118	Toyota Cab	3,600,000.00
3	GB-5119	Toyota Cab	3,600,000.00
4	GB-5121	Toyota Cab	3,600,000.00
5	GB-5123	Toyota Cab	3,500,000.00
6	GB-5124	Toyota Cab	3,600,000.00
7	GB-5126	Toyota Cab	3,600,000.00
8	GB-5136	Toyota Cab	3,600,000.00
9	GB-5138	Toyota Cab	3,600,000.00
10	GB-5167	Toyota Cab	3,600,000.00
11	253-8141	MITSUBISHI Cab	2,400,000.00
12	253-8147	MITSUBISHI Cab	2,800,000.00
13	253-8184	MITSUBISHI Cab	2,800,000.00
14	254-1964	MITSUBISHI Cab	2,800,000.00
15	PB-6733	MITSUBISHI Van	3,200,000.00
16	48-8880	Toyota Lorry	1,400,000.00
17	KI-2376	Toyota Car	3,900,000.00
18	KI-2378	Toyota Car	3,800,000.00
19	PG-9865	MITSUBISHI Cab	6,000,000.00
20	VE-9814	Bajaj M.Bicycle	75,000.00
Sewerline System construction project had been commenced in 2010 and completed in 2015. Even though Rs.8,475,486.32 has incurred for this project, it has not been capitalised due to not make any value addition to land or building and not make any future economic benefits or service potential . According to the Board of directors decision ,it should be written off within four years commencing from 2016.			
Renovation of Dranageline system, rebuilt boundry wall and construct temporey shed for discared item had been cost Rs.4,376,918.49. This constructions expected life time would not be expected to be more than ten years. As per the Board of directors decision 563.13 dated 2018.05.31 ,it should be written off within ten years commencing from 2018.			
3.1 INVESTMENTS			
All Investments of the Capital Development Fund and Price Stabilization Scheme for Coconut Oil Fund are kept in the form of Treasury Bills & Bonds through the Bank of Ceylon, Treasury Division.Fixed Deposits are invested in Bank of Ceylon, People's Bank and Regional Development Bank as per the decision given by the Board of Directors.			
Kapruka Diriya loan scheme has initiated by PSS Oil fund in 2012.and Kapruka Jaya Isura loan scheme has initiated by using MDF Fund (not functioning saving accounts) in 2014.			

3.2 DEBTORS

Debtors are stated at the amounts that they have to be realized. Provision has been made for all doubtful debts.

3.3 STOCKS

Stocks are valued on first in first out basis (FIFO)

(4) PROVISION FOR RETIREMENT BENEFITS

Provision has been made in the Accounts for Retirement Gratuities in accordance with the provisions in the Gratuities Act. No.12 of 1983 .

COCONUT DEVELOPMENT AUTHORITY
NOTES TO THE FINANCIAL POSITION AS AT 31.12.2018

No.

2	Stocks	Rs.
	G.B.O.	
	Laboratory requisites	16,692,356.63
	Motor Spare parts	139,974.55
	Stationery	10,210,051.45
	Uniform	78,595.27
		27,120,977.90

3	Welfare Loan fund	
	<i>Lady Lochor loan fund converted into " Welfare Loan Fund " w.e.f. from 13.05.2017 with the board approval of .546/F/1</i>	2,030,929.26

4	Sundry Debtors	
	GB0	
	Debtors on Service rendered to D.C. Mills	Page-24 4,610,702.21
	Debtors for Copra / Fresh Coconut Lot Fees	Page-25 889,603.28
	Bank of Ceylon Treasury Division (Interest on Treasury Bills)	6,001.27
	Bank of Ceylon (Interest on Fixed Deposits)	4,381,927.96
	Inland Revenue Department Input tax Credit	8,341,921.81
		18,230,156.53

Capital Development Fund

Bank of Ceylon Interest Receivable on Fixed Deposits	918,156.43
Gagasiripura Lalana Saviya	180,485.00
Kapruka Jayaisura Loan Fund	688,597.19
	1,787,238.62

P.S.S.Oil Fund

Interest Receivable from Fixed Deposits	2,667,392.70
Interest Receivable from Bank Loan Interest	54,046.20
Interest Receivable from Treasury Bills	3,335,758.90
	6,057,197.80

Mill Development Fund

Amount receivable on Misappropriation Rs.

CDA maintains Saving Accounts at National Savings Banks under the Mill development Fund in favour of D.C. millers. During 1998 there had been a discrepancy regarding the balance according to CDA books and the balances of following three Savings Accounts in National Savings Bank.

Mill No./Name	A/C No.	Amount as at 31-12-2018
M-68 - Dimbulwatta Mills	49429	1,627,950.44
M-81 - W.W.Fernando & Sons Mills	49385	141,983.99
M-128 - Sandalanka CPCS	49428	101,841.32
		1,871,775.75

Capital Development Fund

Loan given to Jaya Isura loan Scheme	688,597.19
	2,560,372.94

N.R.I. Fund

Interest Receivable from Treasury Bills	1,936.33
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Rec'ble in year

2019

Rec'ble after 2019

5	Staff Debtors			
	Distress Loan	3,549,612.00	16,986,615.48	20,536,227.48
	Festival Advance	53,750.00	-	53,750.00
	Motor Cycle Loan	712,486.08	2,959,542.20	3,672,028.28
	Cycle Loan	12,000.00	2,200.00	14,200.00
	Flood Loan	83,556.00	55,704.00	139,260.00
	Special Salary Advance(I)	376,830.00	-	376,830.00
		4,788,234.08	20,004,061.68	24,792,295.76

6	Loan			Rs.
	Capital Development Fund			
	B.C.C. Lanka Ltd.			Rs.
	A sum of Rs. 25,000,000/= has been approved by the Cess Committee on 07th March 2002 and released on 14th March 2002 as a loan to be repaid at a rate of Rs.2 Million per month, with a grace period of 6 months. Only a sum of Rs. 50,000/= has been received at the end of the year 2003 as repayment			25,000,000.00
				50,000.00
				24,950,000.00
	A sum of Rs. 6,600,000/= has been released on the instruction of the Ministry of Plantation Industries on 20th October 2004, based on an agreement.			6,600,000.00
	None of these loans have been settled as yet by the B.C.C. and hence a claim has been made to the PERC through the Ministry of Plantation Industries, requesting them to settle C.D.A. Loans as a first order liability in the event of B.C.C. is being considered for restructuring.			31,550,000.00
	Hiriyala Govijana Samagama Loan			
	Loan given to Hiriyala Govijana Samagama on 11-07-2006 for purchase of co	2,000,000.00		
	Amount Settled during 2006	(500,000.00)		
	Amount settled during 2008	(50,000.00)		
	Amount settled during 2018	(275,000.00)		
		1,175,000.00		
	Amount settle to be in 2019	300,000.00		
	Amount settle to be after 2019			875,000.00
				32,425,000.00
	P.S.S.Oil Fund			
	Loan granted to B.C.C. Lanka			26,715,037.40
7	KAPRUKA NIPAUM DIRIYA LOAN SCHEME 2018			
	Balance as at 2018/01/01	15,765,797.29		
	Loans given during the year	1,500,000.00		
	Repayment during the year	(9,520,411.28)		
	Balance as at 31/12/2018			7,745,386.01
	JAYAISURA LOAN SCHEME 2018			
	Balance as at 2018/01/01	12,432,717.58		
	Loans given during the year	56,199,400.00		
	Repayment during the year	(7,876,814.87)		
	Balance as at 31/12/2018			60,755,302.71
8	Sundry Advance Capital Development			
	Mr. P. Edirimanna	151,500.00		
	Mrs. Nishanthi Dissanayaka	40.00		151,540.00
				151,540.00
9	Sundry Deposits			
	01. Auto Super Service Centre	450,000.00		
	02. C.R.I. - Electricity Deposits	130,000.00		
	04. Kammalpattuwa (C.P.C.S.) Ltd.	10,000.00		
	05 Rent Deposits-Reginal Office-G.A.D.T.H.C. Thilakarathne	12,000.00		
	05. Pushpakumara Edirisinghe	5,122.96		
	06. Mr. Y.K.C. Jayathilaka	12,776.32		619,899.28
	Sundry Deposits Capital			
	Rent Deposits-Reginal Office-Rangana Jeewapriya Kodikara	60,000.00		
	Rent Deposits-Reginal Office -Saranadewa Amarasingha	72,000.00		
	Rent Deposits-Reginal Office-C M Somapala	90,000.00		222,000.00
10	Treasury Bills			
	G.B.O			
	Investment	Maturity	Investment	
	Date	Date	Value Rs.	
	2018.12.21	2019.03.22	2,348,856.40	2,348,856.40

Fixed Deposits**GBO Fixed Deposits**

<u>F/D Receipt No</u>	<u>Investment</u>	
	<u>Value</u>	<u>Rs.</u>
FD A/C NO 76074390 BOC		2,419,891.86
FD A/C NO 78406784 BOC		38,512,719.92
FD A/C NO 79187659 BOC		898,349.02
FD A/C NO 80028927 BOC		2,279,569.50
FD A/C NO 80029042 BOC		17,409,864.82
FD A/C NO 80028959 BOC		2,695,837.56
FD A/C NO 119-60-01-00006575-6 PEOPLE'S BANK		25,000,000.00
FD A/C NO 119-60-01-00009127-4 PEOPLE'S BANK		44,820,506.82
FD A/C NO 119-60-01-00009129-2 PEOPLE'S BANK		33,954,929.41
FD A/C NO 119-60-01-00009128-3 PEOPLE'S BANK		33,954,929.41
FD A/C NO 119-60-01-00007106-2 PEOPLE'S BANK		611,285.19
FD A/C NO 119-60-01-00007108-0 PEOPLE'S BANK		13,076,576.97
FD A/C NO 119-60-01-00007107-1 PEOPLE'S BANK		6,538,288.49
FD A/C NO 119-60-01-00007109-9 PEOPLE'S BANK		6,538,288.49
FD A/C NO 204-60-01-00013314-4 PEOPLE'S BANK		3,096,647.03
FD A/C NO 449-60-01-00007450-4 PEOPLE'S BANK		29,405,056.18
FD A/C NO 119-60-01-00007110-6 PEOPLE'S BANK		13,076,576.97
		274,289,317.64

Capital Development Fund Fixed Deposits

<u>Amount Invested</u>	
FD A/C NO 78406761 BOC	25,675,146.61
FD A/C NO 79187653 BOC	449,174.49
FD A/C NO 79885488 BOC	5,652,127.35
FD A/C NO 79885633 BOC	8,057,179.39
	39,833,627.84

P.S.S. Oil Fund**Kapraka Loan Fixed Deposit**

<u>F/D Receipt No</u>	<u>F/D No</u>	<u>F/D value as at 2017/12/31</u>	
204-60-01-00013213-6	A 779255	32,271,383.72	
204-60-01-00013171-6	A 779218	7,472,933.53	
204-60-01-00013168-1	A 779215	7,472,933.53	
204-60-01-00013174-3	A 779221	14,945,867.18	
204-60-01-00013175-2	A 779222	14,945,867.18	
204-60-01-00013309-1	A 779345	41,556,560.74	
204-60-01-00010508-6	A 549681	35,823,958.03	
119-60-01-00008619-0		1,940,963.90	
204-60-01-00016629-7	B359981	11,078,214.87	
204-60-01-00017482-1		4,401,206.38	
204-60-01-00018654-1	B654255	5,652,645.39	
204-60-01-00018655-0	B654254	5,652,645.39	
		183,215,179.84	183,215,179.84
Saving Account Balance as at 31.12.2017			6,704,278.10
Total			189,919,457.94

PSS Oil Fund Treasury Bill

<u>Date of Investment</u>	<u>Date of Maturity</u>	<u>Investment Value</u>	<u>Amount Invested</u>
2018.09.21	2019.09.13	223,366.71	
2018.05.18	2019.05.17	3,651,243.58	
2018.04.15	2019.04.15	402,969.77	
2018.11.09	2019.02.08	2,934,215.37	
2018.11.09	2019.02.08	516,297.34	
2018.03.02	2019.03.01	795,819.85	
2018.11.09	2019.02.08	3,319,827.18	
2018.02.09	2019.02.08	4,463,821.41	
2018.12.31		83,547,930.55	
		99,855,491.76	99,855,491.76

N.R.I. Fund				
<u>Date of Investment</u>	<u>Period</u>	<u>Date of Maturity</u>		<u>Amount Invested</u>
2018.08.10	91 Days	2019.02.08		26,599.58
2018.08.11	91 Days	2019.02.09		114,124.77
				140,724.35

MDF Fund

Saving Account Balance as at 31.12.2018	12,730,887.69
MDF Saving Accounts	26,389,244.69
	39,120,132.38

11 Pre Payments

<u>GB.O.</u>		
Insurance-Motor Vehicles	75,824.24	
Insurance-Medical Insurance Policy	4,532,512.87	
Service charges - office equipment	199,588.59	
Fire Insurance	66,609.67	4,874,535.37
<u>Capital Development Fund</u>		
Advance payment to Foreign Travel Expenses M 6		3,472,904.32

12 Cash at Bank

<u>GB.O.</u>		
BOC -Nugegoda-A/C No -228042	5,556,237.90	
Peoples' Bank-Narahenpita- A/C No-119100160007416	5,708,265.97	11,264,503.87

Petty cash - Narahenpita	15,266.00	
Petty cash - Dunkannawa	10,000.00	25,266.00

<u>Capital Development Fund</u>		
BOC -Nugegoda-A/C No -228043		8,249,253.17

13 Sundry Creditors

<u>GB.O.</u>		<u>Rs.</u>
Hemsons international Pvt Ltd	512,248.00	
Analytical Instruments Pvt Ltd	46,002.95	
S & D Associates	4,340.87	
Technical Fire Protections & Engineering	114,275.00	
A.S.Balasooriya	10,822.48	
K & R Photo services	456,100.00	
Prince graphics	42,900.00	
Softlogic International Pvt Ltd	657,746.25	
Leader Stationers	181,250.00	
Hayleys Agro Fertilizer Pvt Ltd	144,450.00	
C.P.Printers	15,000.00	2,185,135.55
Central Engineering Construction Bureau		463,941.52
		2,649,077.07

<u>Capital Development Fund</u>		
Duke Street Insurance Received		3,000,000.00

<u>Creditors</u>		
Analytical Instrument (pvt) Ltd		355,695.00
Hemsons International (pvt) Ltd		529,471.50
Synegy Bio		3,508,245.00
E.W.Inf Systemes		1,373,500.00
Prashans Contruction		1,275,751.47
W.E.C.O.Holdings (pvt) Ltd		74,895.36
M.A.L. Anurasiri Brothers		129,751.28
		10,247,309.61

Mill Development Fund		
PSS Oil Fund Kapruka Diriya Loan Fund		4,672,656.04

14 Refundable Deposits

GB.O.		
Quality Certificates		
Stassen Exports	58,093.95	
Manisha Products	62,073.00	
C.W. Mackie & Company	17,252.00	
G.P. De Silva	2,879.70	140,298.65

Refundable Deposits		
Samantha Industries	70,000.00	
L.R. Constructions	70,000.00	
W.A.D.R.B. Kumara	15,500.00	
		155,500.00

Security Deposits		
01. Pushpakumara Edirisinghe	5,122.96	
02. Mr. Y.K.C. Jayathilaka	12,776.32	17,899.28

Tender Deposits		
Gamini Construction	4,000.00	
Hemachandra Civil Engineers	4,000.00	
Hiru Construction & Enterprises	4,000.00	
Kalhara Builders	4,000.00	
Nevilles	4,000.00	
P.H. Siman De Silva & Sons	4,000.00	
Qualikem International (Pvt) Ltd.	45,000.00	
Surebuild Construction (Pvt) Ltd.	4,000.00	
		73,000.00
		386,697.93

15 Receipt In Advance

GB.O.		
Registration of Major Kernal Products	30,000.00	
Registration of fiber Products	26,500.00	
Registration of fiber millers	32,000.00	
Registration of Suppliers	243,000.00	
Registration of Coconut oil millers	218,250.00	
Registration of Manufacture	140,000.00	
Registration of DC Millers	90,000.00	
Registration of Coconut Estate	1,700.00	
Registration of Coconut multi production Dealer	161,500.00	
	942,950.00	942,950.00

16 Accrued Expenses

G.B.O.		
E.T.F. Payables	216,974.30	
E.P.F. Payables	1,648,505.20	
Coin Payables	978.17	
N.B.T	285,993.32	
Water	40,608.18	
Telecommunications	246,168.45	
Domestic Travelling	345,222.15	
Electricity	475,577.50	
Stamp Duty	491,191.07	
Salary	26,500.00	
Fuel and Lubricant	195,305.00	
Transport	159,525.00	
Security Services	209,775.00	
Cleaning Services	239,923.83	
Maint. of Vehicle	141,380.00	
Overtime	555,773.15	
With Holding Tax	1,800.00	
Lease Rental	177,145.00	
Audit Fee	1,254,835.00	
		6,713,180.32

17 Government Grant Capital

Balance as at 01-01-2018	28,945,228.52
Add : Treasury Grants received for the year 2018	12,388,455.59
Amortization of Grant for year 2018	(38,956,999.51)
Balance as at 31-12-2018	2,376,684.60

18 Capital Development Grant

Balance as at 31-12-2018	77,652,767.37
--------------------------	----------------------

19 Accumulated Income over Expenses

GBO	Rs.
Balance as at 01-01-2018	224,196,154.24
Prior year adjustment	(471,145.64)
Surplus/Deficit	33,138,132.59
Balance as at 31-12-2018	256,863,141.19

Capital Development fund

Balance as at 01-01-2018	59,648,350.91
Surplus/Deficit-2018	12,770,761.02
Adjustment- bank loan	(2,056,597.86)
Balance as at 31-12-2018	70,362,514.07

PSS Oil Fund

Accumulated Fund at 01-01-2018	348,132,537.20
Surplus/Deficit 2018	27,039,982.24
Accumulated Fund at 31-12-2018	375,172,519.44

NRI Fund

Balance as at 01-01-2018	131,677.07
Interest Received	10,983.61
Balance as at 31-12-2018	142,660.68

MDF	Jaya Isura Fund	Mill Development Fund	Total
Savings Account Page -27		22,341,513.33	
Suspense Account		1,871,775.75	
R'ble from Capital Development Fund		3,221,989.14	
Creditor		(200.00)	
Jaya insure Loan granted	12,432,717.58	-	
Fixed Deposits	12,328,475.29	-	
Saving Account	4,210,361.77	-	
P'ble to Pss Oil Fund (Loan)	(4,672,656.04)	-	
Capital Development Fund	688,597.19	-	
TB Interest R'ble	186,447.07	-	
Balance as at 01-01-2018	25,173,942.86	27,435,078.22	52,609,021.08
Savings Account Page -27		26,389,244.69	
Suspense Account		1,871,775.75	
R'ble from Capital Development Fund		3,683,308.03	
Jaya insure Loan granted	60,755,302.71	-	
Saving Account	12,730,887.69	-	
P'ble to Pss Oil Fund (Loan)	(47,672,656.04)	-	
Capital Development Fund	688,597.19	-	
Balance as at 31.12.2018	26,502,131.55	31,944,328.47	58,446,460.02

P.S.S.OIL FUND

GBO C/Account	1,277,282.49	
MDF C/Account	47,672,656.04	
		48,949,938.53

Discloses**Legal Cases**

1. Criminal Investigation Department has filed case against Mr. Shantha Rajapaksha former accountant of Coconut Development who was suspected of fraudulent action .This case is an on going case at High Court of Colombo.
2. An employee of Coconut Development Authority has filed a Fundamental Right case against Coconut Development Authority .This case is an ongoing case at Supreme Court.
3. An Office aide of the Coconut Development Authority,has been released to the Mahaweli Authority on a temporary basis . During that period, the Coconut Development Authority has not payed EPF or ETF contribution onbehalf of him . In that matter he has filed a case in the Labor Commission against coconut Development Authority demanding EPF & ETF for that period.

COCONUT DEVELOPMENT AUTHORITY
NOTES TO THE STATEMENT OF FINANCIAL PERFORMANCE FOR THE YEAR ENDED 31.12.2018

1	Interest Income		
	G.B.O.		
	Interest on Staff Loans	999,245.15	
	Interest on Investment (Treasury Bills)	176,016.38	
	Interest on Fixed Deposits	28,330,901.15	29,506,162.68
	Capital Development Fund		
	Interest on Treasury Bills	64,916.35	
	Interest on Fixed deposits	3,822,248.12	
			3,887,164.47
	P.S.S.Oil Fund		
	Interest on Treasury Bills	6,450,691.08	
	Interest on Bank loans	296,847.84	
	Interest on Fixed Deposits	20,093,030.47	
	Interest on Servings Accounts	199,412.85	
			27,039,982.24
	N.R.I. Fund - Interest on Treasury Bills	10,983.61	10,983.61
	MDF Fund		
	Interest on Fixed Deposits	179,641.52	
	Interest on Bank loan	949,973.04	
	Interest on Servings Accounts	198,574.13	1,328,188.69
			61,772,481.69
2	Rental Income		
	G.B.O.		
	State Plantation Ltd.		877,830.65
	Capital Dev. Fund		
	Rental Income - Dunkannawa Waharakgoda Nelliya		31,285.02
			31,285.02
3	Registration Fees		
	G.B.O.		
	Exporters of Major Kernel Products	4,790,000.00	
	Exporters of Minor Kernel Products	1,228,500.00	
	Exporters of Fibre & Fibre Products	3,839,000.00	
	Registration of Copra Dealers	53,750.00	
	Registration of Auctioneers & Brokers	34,000.00	
	Registration of D.C. Millers	473,500.00	
	Registration of Coconut Oil Millers	1,304,517.24	
	Registration of Fibre Millers	310,928.70	
	Registration of Copra Manufacture	848,483.33	
	Registration of charcoal Manufacture	59,400.00	
	Registration of Suppliers	166,000.00	
	Registration of Coconut Estates Owners	132,800.00	
	Registration of Coconut Milk Process'	219,803.29	
	Registration of Activated Carbon	45,000.00	
	Surcharges Charges on late Registration	671,454.50	
	Registration of Coconut Multy Products	1,718,255.75	
	Registration of Fresh Coconut	450,000.00	
			16,345,392.81
4	Auction Proceeds		
	Lot Fees Income -Copra & fresh Coconut		1,815,311.86
	Less : Expenses		
	Action Fee	1,000,000.00	
	Other	67,900.00	(1,067,900.00)
			747,411.86

5	Laboratory Income			
	Quality Certificates	688,915.38		
	DC sampling & Testing Charges- DC	12,794,227.08		
	Testing Charges- Coconut Oil	1,382,852.96		
	Water Sampling charges	598,581.00	15,464,576.42	
	Capital Grant for D C Sampling & Testing Charges		11,000,000.00	
			26,464,576.42	
6	Miscellaneous Income			
	G.B.O.			
	Tender Deposits	50,000.00		
	Sale of Bulletins	98,500.00		
	Training Income	330,100.00		
	Vehicle Hire Charges	125,744.65		
	Sundry Income	1,697,815.73		
	Lable Books & Stickers Charges	3,108,462.00	5,410,622.38	
	Capital Development Fund			
	Other income		5,219,866.85	
			(1,468,335.54)	
7	Dunkannawa Coconut Estate			
	Sale of Coconut Nuts	3,217,805.00		
	Less :Expenses			
	Salaries & Wages,	1,434,890.68		
	EPF & ETF	541,367.49		
	Coconut Plucking Expenses	134,785.00		
	Insurance	8,801.94		
	Telephone charges	22,800.17		
	Electricity	232,422.58		
	Other expenses	351,428.18	2,726,496.04	491,308.96
	Dunkannawa Modern Mill			
	Sale of Coir	434,866.00		
	Sale of Coir Pith	146,775.00	581,641.00	
	Less : Expenses			
	Salaries & Wages,	961,635.88		
	EPF & ETF	416,893.54		
	Electricity	62,282.43		
	Insurance	27,101.10		
	Telephone charges	10,285.98		
	Sundry Expenses	83,264.32	1,561,463.25	(979,822.25)
				(488,513.29)
8	Processing Development Programmes			41,879,593.32
9	Marketing Development & Research Programmes			44,624,671.77
10	Quality Control & Quality Assurance			4,079,584.63

DEBTORS ON SERVICES RENDERED TO D.C. MILLERS AS AT 31-12-2018

MILL NO.	NAME OF MILLER	TOTAL (Rs.)
62	Desico Lanka (Pvt) Ltd Ganewate mills Ganewatte, Nikadalupotha	45,000.00
63	Chilaw DC & Oil Mills,Puttalam Road,Thibilla Chilaw	15,000.00
64	Rathkarawwa DC & Oil Mills, Maspotha	152,500.00
67	Marawila CPCS Society,Marawila	95,000.00
69	Baduwatta DC mills Pvt Ltd	221,250.00
71	Madampe Mills (Pvt) Ltd, Thambagalla, Kakkapalliya	37,500.00
72	St Joseph DC Manufacturers (Pvt) Ltd, Colombo Road, Watinapaha	45,000.00
75	Siriyangani DC & Fibre Mills, Giriulla Road,Katana	136,250.00
76	*S.A.silva & sons Lanka (Pvt) Ltd,Loluwigoda Mills ,Loluwigoda	87,500.00
77	St Annes Factory,Daluwa,Mampuri	30,000.00
80	Dunagaha CPCS, Kehelalle Mills ,Badalgama	36,250.00
84	Pottewela DC & Oil Mills,Mirigama Road, Banduragoda	67,500.00
85	*Wichy plantation (Pvt) Ltd	82,500.00
88	Sonic Expo (Pvt) Ltd 1	22,500.00
89	Kudawewa Mills,Kudawewa	20,000.00
91	Sandalanka C.P.C.S	21,250.00
93	Green Palm Mills.Kaluarippuwa ,Katana	286,249.15
94	Sirikatha DC Mills,Kochchikade	40,000.00
95	CBL Cocos Pvt Ltd,Colombo Road,Alawa	438,750.00
103	St Theresa DC Mills, Katana	58,750.00
105	D.Y.& D.U.Rajapaksa Pvt Ltd , Henegama DC Mills	48,750.00
107	Chandra DC Mills, Kandawala, Katana	8,750.00
108	Battuluoya DC Mills, Puttalam Rd.Battuluoya	33,750.00
110	Renuka Agri Organic Ltd	182,010.87
114	Dewmini Coconut Products (Pvt) Ltd, Nattandiya Mills, Nattandiya	1,250.00
115	Bogamuwa DC Mills, Aluthgama , Bogamuwa, Aluthgama	27,500.00
119	Mathammana DC Mills, Minuwangoda	227,505.35
120	Fatima DC & Oil Mills, Nainamadama	38,750.00
122	St Josephs DC & Fibre Mills, Katana	38,750.00
124	Minuwangoda Mills, Minuwangoda	162,500.00
126	Lakshmi DC Mills, Bata Kanda ,Badalgama	99,113.03
127	Victoria DC Mills, Welpalla	202,500.00
130	Boyagane DC Mills Pvt Ltd,Boyagane, Kurunegala	156,250.00
131	Jayakody Mills (Pvt) Ltd, Nattandiya Rd, Dankotuwa	50,000.00
132	Asian Agro Products Pvt Ltd	136,250.00
133	Upali DC Mills, Thalawila, Marawila	12,500.00
134	Gunawardena DC Mills.Galawatta, Katana	216,476.30
136	Welwin DC Mills,Minuwangoda	42,500.00
139	Sanhinda DC Mills(Pvt) Ltd	47,500.00
144	Swanee DC Mills, Negambo	50,000.00
145	Dunagaha CPCS, Dunagaha	35,000.00
149	Maviksel International com(pvt)Ltd	123,913.04
150	NDC Export (Pvt) Ltd	228,750.00
151	Wayambe D.C. & Oil Millers (Pvt) Ltd	61,249.94
	Nara Coco Lands	5,434.78
	Sanmik Foods (Pvt) Ltd	120,000.00
		4,610,702.21

DEBTORS-FRESH COCONUT & COPRA LOT FEE AS AT 31.12.2018	
<u>Copra</u>	<u>Amount (Rs.)</u>
<u>Copra Lot Fees</u>	
G & J Matew & Co (Pvt) Ltd.	39,918.94
L.S.T. De S.Wijeratne & Co.	37,874.98
<u>Fresh Coconut Auction Fees</u>	
National Livestock Development Board	131,651.31
Chilaw Plantation Ltd.	216,690.77
Coconut Research Institute	22,803.32
Coconut Cultivation Board	225,749.33
Mrs. P.P. Gunasekera	955.84
Lalan Rubber (Pvt) Ltd.	36,144.00
Kurunegala Plantation Ltd.	28,942.39
Elkaduwa Plantation Ltd,	115,413.99
H.L. De Mel & Co. (Pvt) Ltd.	24,366.55
Mr. C. Deepal Mathew	1,296.01
Kegalle Plantation Ltd.	1,591.50
Polkanatte Watte	252.00
Dicklanda Estate	4,916.25
Halpe Estate (Dr.P.S.De Silva)	1,036.10
Total	889,603.28

**Coconut Development Authority
Recurrent Expenditure**

2017	DESCRIPTION	SUB TOTAL	2018 TOTAL
	PERSONAL EMOLUMENTS		
67,794,896	Salaries & Wages	72,821,165.49	
15,856,094	E.P.F. & E.T.F.	15,852,119.60	
38,203,694	Cost of Living & Other allowances	19,143,866.30	
	Holiday Payment	247,890.56	
	Matching Allowance	7,165,022.49	
	Fuel Allowance	2,347,070.09	
	Special allowance	1,046,296.88	
4,548,815	Overtime & Holiday pay	6,767,400.06	
3,313,576	Welfare Expenditure	3,567,588.94	
1,288,803	Training & Seminars	1,488,269.07	
131,005,877			130,446,689.48
	TRAVELLING EXPENSES		
5,321,658	Travelling Expenses (Local)	4,288,203.26	
226,560	Parking Fee	241,600.00	
5,548,218			4,529,803.26
	SUPPLIES & REQUISITES		
7,910,814	Stationery & Other Requisites	9,358,841.13	
4,371,610	Fuel & Lubricants	5,737,268.93	
592,647	Uniforms	404,531.80	
8,285,334	Laboratory Chemicals ,Glass ware & Other Consumable	10,887,881.54	
440,244	Other requirements	1,402,566.38	
21,600,649			27,791,089.78
	REPAIRS & MAINTENANCE		
580,852	Structures / Buildings	3,319,731.65	
2,227,539	Machinery Office Equipment & Furniture	1,864,845.66	
4,620,079	Vehicles	3,991,526.34	
7,428,470			9,176,103.65
	TRANSPORTATION , COMMUNICATION , UTILITY & OTHER SERVICES		
4,089,648	Communication	3,792,539.83	
1,663,912	Transport	1,725,548.53	
5,036,520	Insurance	7,212,436.60	
2,561,525	Security Services	2,464,375.00	
1,956,437	Cleaning Services	3,056,704.23	
6,622,840	Vehicle Lease rent	9,037,154.75	
5,837,095	Electricity & Water	6,330,505.18	
1,204,272	Rates & Taxes	1,204,272.00	
367,500	Legal Fees	459,000.00	
483,657	Postal Charges & Stamp Fee	237,589.30	
650,000	Audit Fees	600,000.00	
54,092	Bank Charges	55,846.36	
30,527,497			36,175,971.78
	Taxes and other Levies		
211,200	Economic Service Charges	941,172.07	
884,499	VAT	-	
15,775	Stamp Duty	17,075.00	
1,111,474			958,247.07

	Other		
288,805	Chairman's Entertainment	58,860.00	
1,078,507	Damage by fire	-	
1,667,938	Board members Allowance	1,622,076.08	
2,090,027	Market Promotion	2,550,199.55	
5,125,277			4,231,135.63
202,347,461	TOTAL EXPENDITURE		213,309,040.65

Internal Audit Plan related to the year 2018 was prepared under direction of representatives of Auditor General Department and Treasury covering functions of Administrative, Finance sections and implemented.

Accordingly, audit checks had been done as per the approved audit plan and 25 reports on them were submitted. Audit checks related to 06 matters covering administration and finance sections based on action plan 2018 in active sections were held and tabled reports thereto. In addition, 07 special investigations assigned by Management were done and out of that one was a basic inquiry. All reports related to this investigations had accomplished in the year and submitted to the Management.

6.1 Audit and Management Committee Report

6.1.1 Composition and quorum

Audit and Management Committees of Coconut Development Authority were set up as per para 4.7.1 of Public Enterprise Circular No. PED/12 dated 02.06.2003 named “Guideline Hand Book on Good Governance of Public Institutes” and by Public Enterprise Circular No. PED/55 dated 04.12.2010 and functions of said Committees are executed Audit and Management Committee Board is consist with three non executive directors. Following named directors had been working as committee members in the year under review.

2018/01 Audit and Management Committee meeting held on 28.03.2018

- | | |
|--------------------------------|-------------------------|
| 1. Mr. R.M.P.K.Namal Bandara - | Treasury Representative |
| 2. Mr. N.S. Wanasinghe - | Ministry Representative |
| 3. Mrs. W.M.Y.T. Fernando - | Member |
| 4. Mr. M.G.S.C. Jayarathna - | Member |

2018/02 Audit and Management Committee meeting held on 07.06.2018

- | | |
|-------------------------------|---------------------------|
| 1. Mr. R.M.P.K. Namal Bandara | - Treasury representative |
| 2. Mr. N.S. Wanasinghe | - Ministry representative |
| 3. Miss W.M.Y.T. Fernando | -- Member |
| 4. Mr. H.G.S.C. Jayarathna - | Member |

2018/03 Audit and Management Committee meeting held on 10.09.2018

- | | |
|-------------------------------|---------------------------|
| 5. Mr. R.M.P.K. Namal Bandara | - Treasury representative |
| 6. Mr. N.S. Wanasinghe | - Ministry representative |
| 7. Miss W.M.Y.T. Fernando - | Member |
| 8. Mr. H.G.S.C. Jayarathna | - Member |

2018/04 Audit and Management Committee meeting held on 20.12.2018

- | | |
|-------------------------------|---------------------------|
| 1. Mr. R.M.P.K. Namal Bandara | - Treasury representative |
| 2. Mr. N.S. Wanasinghe | - Ministry representative |

Chief Internal Auditor and a representative of Auditor General took part in meetings. In the Committee, no member representing Management is there. Director General attends the meeting on invitation. When Committee requires participation of other members of management, he is so invited. The quorum of Committee is 03 members.

6.2 Functions of Committee

- Be vigilant on proper implementation of Committee directions and recommendations by reviewing previous Audit and Management Committee meeting.
- Reviewing structures and content, supervision of reliability of Financial Reporting system of Coconut Development Authority.
- Monitoring and reviewing internal and external audit relevance and actions taken to confirm utility.
- Reviewing and recommending suitability and success of internal controls.
- Reviewing internal and external audit report and steps taken thereto.
- Complying with regulation and financial reporting requirements and reviewing/recommending ethical parameters and actions for confirming relations with regulation authorities concerned.

6.3 Meetings and activities

Committee met four times during the year under review. Attendance of Committee members is given below.

Director's name	No. attendees
Mr. R.M.P.K. Namal Bandara	04
Mr. N.S. Wanasingha	04
Mrs. W.M.Y.T. Fernando	03
Mr. H.G.S.C. Jayarathna	03

Table 35- Meetings and activities

Following activities had been implemented by Committee in the year under review.

6.3.1 Internal Audit

- Internal audit programme and audit plan prepared on recommendations of Auditor General Department for year 2018 related to affairs of Internal Audit Unit was taken for discussion and directing on areas to be further audited and recommending audit programme and audit plan for Board approval.
- Usefulness of implementing internal audit plan for year 2018 was further studied.
- Appraising answering progress of internal audit queries
- Findings of special audit and management reactions for them with the intention of blocking out recurrences in the future and taking correct actions were observed.

6.3.2 External Audit

- Replies given by Management related to audit queries posed by Auditor General's Department in respect of Coconut Development Authority for year ended on 31.12.2017 were reviewed. Follow ups on corrective measures of Management for recurring issues highlighted in special were made.

6.3.3 Financial reporting

- Assisted to the Board in confirming preparation of accounts and audited financial statements with the requirements of Supervision and Regulation Authority.

6.3.4 Minutes / Reporting to Board

- Minutes of Committees are maintained at the Secretariat of the Board. All minutes of the meetings are tabled and Board approval is taken for implementing recommendations made by Committees which are endorsed at the Director Board. Actions are taken in respect of outstanding issues on numerical basis. Follow up actions have been taken regarding corrective and preventive measures at correct times in line with Authority's work plan.

NATIONAL AUDIT OFFICE

My No. PLA/D/CDA/01/18/02

Date- 29 May 2019

Chairman
Coconut Development Authority

Report of the Auditor General on the Financial Statements of the Coconut Development Authority for the year ended 31 December 2018 and other legal and regulatory requirements as per Section 12 of National Audit Act No 19 of 2018.

1. Financial Statements

1.1 Qualified Opinion

The audit of the financial statements of the Coconut Development Authority for the year ended 31 December 2018 comprising the statement of financial position as at 31 December 2018 and the statement of financial performance, statement of changes in equity/ statement of changes in equity and cash flow statement for the year then ended, and notes to the financial statements, including a summary of significant accounting policies, was carried out under my direction in pursuance of provisions in Article 154(1) of the Constitution of the Democratic Socialist Republic of Sri Lanka read in conjunction with provisions of the National Audit Act No. 19 of 2018 and Finance Act No. 38 of 1971. My report to Parliament in pursuance of provisions in Article 154 (6) of the Constitution will be tabled in due course.

In my opinion, except for the effects of the matters described in the basis for Qualified Opinion section of my report, the accompanying financial statements give a true and fair view of the financial position of the Authority as at 31 December 2018, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Public Sector Accounting Standards.

1.2 Basis for Qualified Opinion

1.2.1. Sri Lanka Public Sector Accounting Standards

Even though it is required to follow actuarial valuation method on timely order for the calculation of employees' gratuity benefits as per Standard No 19, the allocation for gratuity as at 31 December 2018 has been shown in financial statements as Rs. 38,393,469 without making such actuarial valuation.

1.2.2. Accounting deficiencies

164 items including machinery, computers, and office furniture to the cost of Rs. 8,724,796 belonging to the coir mill at Dunkannawa estate, which has been taken over again by the Authority in year 2016 removing it from the accounts when providing on lease to Coconut Research Board, have not been taken in to financial statements.

1.2.3. Lack evidence for the audit

(a) The invoices pertaining to prove the balance of Rs. 3,953,859, which has been debited as debtors in relation to the services supplied to the owners of desiccated coconut mills during the year under review, have not been submitted for auditing.

(b) The letters for the confirmation of balances of miscellaneous debtors and miscellaneous creditors to the value of Rs. 3,976,192 and 9,734, 871 respectively as at 31 December 2018 have not been submitted for the auditing.

1.2.4. Non-clarified differences

(a) The balance of the receivables for the services provided to the owners of desiccated coconut mills by the end of the year is Rs. 5,203,848 as per the schedules available at the Processes and Development Division of the Authority and the same balance shown as Rs. 4,610,702 in the ledger. Accordingly a difference of Rs. 593,146 has been observed.

(b) As per the financial statements of the Authority, the balance to be received from a private company by the Authority as at 31 December 2018 is Rs. 182,011 but the amount of the same is Rs. 33,150 as per the letter of confirmation of balances provided by the company. Accordingly reasons for the difference of Rs. 148,861 has not been clarified.

I conducted my audit in accordance with Sri Lanka Auditing Standards (SLAuSs). My responsibilities, under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I believe that the audit evidences I have obtained is sufficient and appropriate to provide a basis for my qualified opinion.

1.3. Responsibility of Management and other related parties for the Financial Statements

The management is responsible for the preparation and fair presentation of these financial statements in accordance with Sri Lanka Public Sector Accounting Standards and for such internal control as the management determines is necessary to enable the preparation of financial Statements that are free from material misstatements whether due to fraud or error.

In preparing Financial statements, management is responsible for assessing the Authority's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Authority or to cease operations, or has no realistic alternative but to do so.

Responsibility, control with regard to finance reporting process supervision of Authority is borne by parties concerned.

It is essential to maintain document and reports on income, expenditure, assets and liabilities in proper manner enabling to prepare annual and timely financial statements of Authority as per sub section 16 (1) of National Audit Act No. 19 of 2018.

1.4 Auditor's Responsibilities for the Audit of the Financial Statements

My objective is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Sri Lanka Auditing Standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Sri Lanka Auditing Standards, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Authority's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the

financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Authority to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

2. Report on Other Legal and Regulatory Requirements

National Audit Act, No. 19 of 2018 includes specific provisions for following requirements.

- Except for the effect of the matters described in the Basis for Qualified Opinion paragraph, I have obtained all the information and explanation that required for the audit and as far as appears from my examination, proper accounting records have been kept by the Authority as per the requirement of the section 12 (a) of the National Audit Act, No. 19 of 2018.
- The financial statements presented by the Authority are consistent with the preceding year as per the requirement of section 6 (1) (d) (iii) of the National Audit Act, No. 19 of 2018.
- The financial statements presented include all the recommendations made by me in the previous year as per the requirement of section 6 (1) (d) (iv) of the National Audit Act, No. 19 of 2018.

Based on the procedures performed and evidence obtained were limited to matters that are material, nothing has come to my attention;

- to state that any member of the governing body of the Authority has any direct or indirect interest in any contract entered into by the Authority which are out of the normal cause of business as per the requirement of section 12 (d) of the National Audit Act, No. 19 of 2018.
- to state that the Authority has not complied with any applicable written law, general and special directions issued by the governing body of the Authority as per the requirement of section 12 (f) of the National Audit Act, No. 19 of 2018

Reference to law/direction	Description
Internal Circular of the Coconut Development Authority No 003.සං.අ./පරි/කානි/ 2013/01 dated 15 February 2018	
i. Para No 02	In case where a person, who has obtained an advance, further requests another advance, such person should have settled the advance obtained at the previous occasion. However at 09 occasions Rs. 1,053,550 has been granted to 06 persons without settling the first advance of Rs. 846,200.
ii. Para No 05	In case where the person , who obtains the advance, unable to settle , without any reasonable ground, the advance within 03 days from the completion of the task, a fine equivalent to 2% should be recovered from such a person for the total amount. However no such fine has been recovered at 24 occasions , where a delay has occurred from 2 days to 72 for settling Rs. 1,527,950.

- to state that the Authority has not performed according to its powers, functions and duties as per the requirement of section 12 (g) of the National Audit Act, No. 19 of 2018
- to state that the resources of the Authority had not been procured and utilized economically, efficiently and effectively within the time frames and in compliance with the applicable laws as per the requirement of section 12 (h) of the National Audit Act, No. 19 of 2018

(a) In a situation where Sri Lanka Rupavahini Corporation has agreed by the letter dated 06 September 2016 to set off the amount of Rs. 7,060,032, which is to be received by the Authority from Corporation for nearly 04 years, against the charges for the programmes to be conducted in due course, action has not been taken to set off an amount of Rs. 1,524,900, which has to be paid for the programmes telecasted from 10 to 15 April 2018 for Sinhala new year festival, as mentioned above but the total amount has been paid to Rupavahini Corporation. Due to such situation the opportunity to recover the above mentioned amount has become fruitless.

(b) Stocks to the value of Rs. 3,461,702 out of the laboratory equipment to the value of Rs. 5,804,321, which have been purchased from year 2014 without identifying the requirement, remained unutilized.

(c) 4,076,702 stickers to the value of Rs. 7,184,234 , which have been purchased from year 2014 to 2018 to paste on coconut related productions without identifying the requirement , have remained unutilized for more than 02 years.

(d) Even though the Authority has paid an amount of Rs. 1,018,100 from year 2013 to 2016 to a private company for completion of the tasks pertaining to bidding through internet for the auction of nut coconut, that expense has become an unutilized expense as the auction has not been carried out through internet.

(e) Even though an amount of Rs. 1,400,000 has been paid to the consultancy company in relation to the completion of the contract to the value of Rs. 17,105,433 for modifying the laboratory of the Authority as at 25 December

2017, such modifications have not been concluded even by 31 December 2018. Therefore the loss of the income incurred to the Authority due to its inability to conduct laboratory tests is Rs. 9,297,800.

(f) Two vehicles , which have been provided to two officers on lease rent, have not been used for running purposes as a result of the retirement of one officer and resignation of the other officer. Therefore the rental of Rs. 752,100, which has been paid for the period from 08 September 2018 to December 2018, has become an uneconomic expenditure.

(g) Even though an amount of Rs. 1,600,000 has been allocated by the action plan to deliver 400 containers among 20 industrialists selecting 2 from each district in order to direct institutions to obtain standard certificates, which have not obtained standard certificates even after registering under the Authority for coconut related productions, that has not been implemented by the Authority.

(h) Even though an amount of Rs. 2,480,000 has been allocated by the action plan to make the awareness of the general public and consumers through electronic and printed media to buy the coconut oil certified by the Authority, this awareness programme has not been conducted by the end of the year under review.

(i) An amount of Rs. 31,550,000, which was due from a private company, was remaining unsettled for a period of 14 years.

W.G.C.Wickramarathna
Auditor General